FIDELITY & GUARANTY LIFE INSURANCE COMPANY

Consolidated Financial Statements

December 31, 2014 and 2013

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

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KPMG LLP
1 East Pratt Street
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Independent Auditors' Report

The Board of Directors
Fidelity & Guaranty Life Insurance Company:

We have audited the accompanying financial statements of Fidelity & Guaranty Life Insurance Company, which comprise the statutory statements of admitted assets, liabilities, and capital and surplus as of December 31, 2014 and 2013, and the related statutory statements of operations, changes in capital and surplus, and cash flow for the years then ended, and the related notes to the statutory financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with statutory accounting practices prescribed or permitted by the Iowa Insurance Division (IID). Management is also responsible for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Basis for Adverse Opinion on U.S. Generally Accepted Accounting Principles

As described in Note 1 to the financial statements, the financial statements are prepared by Fidelity & Guaranty Life Insurance Company using statutory accounting practices prescribed or permitted by the Iowa Insurance Division, which is a basis of accounting other than U.S. generally accepted accounting principles. Accordingly, the financial statements are not intended to be presented in accordance with U.S. generally accepted accounting principles.

KPMG LLP is a Delaware limited liability partnership, the U.S. member firm of KPMG International Cooperative ("KPMG International"), a Swiss entity.

The effects on the financial statements of the variances between the statutory accounting practices described in Note 1 and U.S. generally accepted accounting principles, although not reasonably determinable, are presumed to be material.

Adverse Opinion on U.S. Generally Accepted Accounting Principles

In our opinion, because of the significance of the variances between statutory accounting principles and U.S. generally accepted accounting principles discussed in the Basis for Adverse Opinion on U.S. Generally Accepted Accounting Principles paragraph, the financial statements referred to above do not present fairly, in accordance with U.S. generally accepted accounting principles, the financial position of Fidelity & Guaranty Life Insurance Company as of December 31, 2014 and 2013, or the results of its operations or its cash flows for the years then ended.

Opinion on Statutory Basis of Accounting

In our opinion, the financial statements referred to above present fairly, in all material respects, the admitted assets, liabilities, and capital and surplus of Fidelity & Guaranty Life Insurance Company as of December 31, 2014 and 2013, and the results of its operations and its cash flow for the years then ended, in accordance with statutory accounting practices prescribed or permitted by the Iowa Insurance Division described in Note 1.

Emphasis of Matters

As discussed in Note 1, effective January 1, 2013, the Company changed its accounting method for indexed annuity reserves and for options that hedge those indexed annuities, The effect of these accounting changes at January 1, 2013 was an increase in surplus of $13.6 million and is reflected in the Statement of Changes in Capital and Surplus as a cumulative effect of changes in accounting principles. Our opinion is not modified with respect to this matter.

As discussed in Note 1, in 2013, the Company received permission from the IID to waive the requirement in Statement of Statutory Accounting Principles No. 72, “Surplus and Quasi-reorganizations”, that an election to restate surplus be made within six months of an ownership change, and obtained approval of IID to reclassify its negative unassigned surplus balance of $805.8 million to paid-in and contributed surplus as of April 6, 2011, the date the Company’s ownership changed, which had the effect of setting the Company’s statutory unassigned surplus to zero as of that date. Our opinion is not modified with respect to this matter.

As discussed in Note 1, the Company’s investment in affiliated common stock of Raven Reinsurance Company (Raven Re) reflects the subsidiary’s effect of a permitted accounting practice approved by the Vermont Department of Financial Regulation to determine its assumed reserves from the Company under statutory accounting principles prescribed by the state of Iowa, As of December 31, 2014 and 2013, this permitted accounting practice decreased the reserves Raven Re assumes from the Company by $17.3 and $20.5 million, net of taxes, respectively. The Company carries its investment in Raven Re using the statutory equity method, and this permitted practice resulted in a $17.3 and $20.5 million increase in its net investment in Raven Re and a $17.3 and $20.5 million increase in its surplus as of December 31, 2014 and 2013, respectively. Our opinion is not modified with respect to this matter.

As discussed in Note 1, the Company’s investment in affiliated common stock for Raven Re reflects the subsidiary’s effect of a permitted accounting practice approved by the Vermont Department of Financial

Regulation to include as an admitted asset the value of a letter of credit ("LOC") for $245 million and $270 million as of December 31, 2014 and 2013, respectively. Under prescribed statutory accounting practices, such a letter of credit would not meet the definition of an admitted asset. That permitted accounting practice increased Raven Re's statutory surplus by $245 million and $270 million as of December 31, 2014 and 2013, respectively. Therefore, the carrying amount of Fidelity & Guaranty Life Insurance Company's investment in Raven Re also increased by these amounts, over what it would have been had that permitted accounting practice been followed. Our opinion is not modified with respect to this matter.

Other Matter

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The supplementary information included in schedule 1 – supplemental schedule of selected statutory financial data, schedule 2 – supplemental investment risks interrogatories and schedule 3 – summary investment schedule is presented for purposes of additional analysis and is not a required part of the financial statements but is supplementary information required by the Iowa Insurance Division. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

KPMG LLP

May 15, 2015

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

STATUTORY STATEMENTS OF ADMITTED ASSETS, LIABILITIES, AND CAPITAL AND SURPLUS

as of December 31 (dollars in thousands)	2014	2013
ADMITTED ASSETS		
Bonds	$ 15,901,348	$ 14,962,402
Preferred stocks	618,744	217,171
Common stocks	292,320	292,068
Mortgage loans on real estate	206,848	104,166
Cash and short-term investments	418,948	687,288
Policy loans	9,302	9,103
Derivative instruments	126,516	97,189
Surplus debentures	370,412	101,409
Investment in limited partnerships	2,689	728
Other affiliated long term invested assets	52,834	19,500
Receivable for securities	5,926	1,928
Other invested assets	-	437
Total cash and invested assets	18,005,887	16,493,389
Investment income due and accrued	155,847	151,227
Deferred and uncollected premiums, net of loading (2014, $23,721; 2013, $24,584)	39,550	50,200
Amounts due from reinsurers	39,531	34,327
Funds held by or deposited with reinsured companies	38,957	41,158
Federal income tax recoverable and interest thereon (including net deferred tax asset of $80,949 in 2014; $72,291 in 2013)	81,158	72,291
Receivable from parent	60,000	-
Other assets	4,750	5,236
TOTAL ADMITTED ASSETS EXCLUDING SEPARATE ACCOUNTS	18,425,680	16,847,828
Separate accounts	547,515	574,688
TOTAL ADMITTED ASSETS	**$** 18,973,195	$ 17,422,516

See Notes to Statutory Financial Statements.

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

STATUTORY STATEMENTS OF ADMITTED ASSETS, LIABILITIES, AND CAPITAL AND SURPLUS (CONTINUED)

as of December 31 (dollars in thousands, except for share data)	2014	2013
LIABILITIES AND CAPITAL AND SURPLUS		
LIABILITIES		
Aggregate reserves-life, annuity and accident and health	$ 14,218,651	$ 12,643,482
Liability for deposit-type contracts	541,417	633,382
Policy and contract claims	10,600	7,853
Other policyholders' funds	193	219
Amounts payable on reinsurance	16,820	26,572
Interest maintenance reserve (IMR)	505,844	479,812
General expenses due or accrued	4,537	3,368
Taxes, licenses and fees due or accrued, excluding federal income taxes	8,119	5,833
Current federal income taxes (including $0 in 2014 and $7,030 in 2013 on realized capital gains)	-	7,030
Remittances and items not allocated	105,260	236,035
Asset valuation reserve	118,074	82,421
Funds withheld from unauthorized reinsurers	1,236,380	1,240,565
Payable to parent, subsidiaries and affiliates	15,611	16,928
Funds held under coinsurance	38,417	39,741
Payable for securities	13,613	68,080
Retained asset account liabilitiy	206,315	206,218
Options collateral payable	174,795	74,739
Accrued expenses and other liabilities	69,282	48,049
TOTAL LIABILITIES EXCLUDING SEPARATE ACCOUNTS	17,283,928	15,820,327
Separate accounts	477,670	493,935
TOTAL LIABILITIES	17,761,598	16,314,262
CAPITAL AND SURPLUS		
Common stock, par value $100 (50,000 shares authorized; 30,000 shares issued and outstanding)	3,000	3,000
Paid-in and contributed surplus	700,597	640,597
Surplus notes	225,000	225,000
Segregated surplus	6,823	36,467
Unassigned surplus	276,177	203,190
TOTAL CAPITAL AND SURPLUS	1,211,597	1,108,254
TOTAL LIABILITIES AND CAPITAL AND SURPLUS	$ 18,973,195	$ 17,422,516

See Notes to Statutory Financial Statements.

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

STATUTORY STATEMENTS OF OPERATIONS

for the years ended December 31
(dollars in thousands)

	2014	2013
REVENUES		
Premium and annuity considerations	$ 2,526,073	$ 1,363,813
Consideration for supplementary contracts	8,552	6,539
Net investment income	998,014	880,661
Amortization of IMR	119,289	125,975
Separate Accounts net loss from operations excluding unrealized gains or losses	(2,726)	(132)
Commissions and expense allowances on reinsurance ceded	52,346	82,558
Reserve adjustments on reinsurance ceded	-	-
Interest maintenance reserve adjustment related to reinsurance	8,714	58,120
Miscellaneous income	61	267
Total revenues	$ 3,710,323	$ 2,517,801
POLICY BENEFITS AND EXPENSES		
Benefits:		
Death	7,745	3,909
Annuity	562,218	608,009
Surrender benefits and other fund withdrawals	915,461	890,500
Payments on supplementary contracts with life contingencies and other benefits	8,512	9,443
Total benefits	1,493,936	1,511,861
Increase in aggregate reserves-life, annuity and accident and health	1,575,168	462,744
Interest and adjustments on contract or deposit-type contract funds	31,683	38,105
Commissions (direct and reinsurance assumed)	251,550	153,732
General insurance expenses	102,998	96,108
Taxes, licenses, and fees	8,606	6,697
Decrease in loading on deferred and uncollected premiums	(864)	(2,605)
Investment return transferred to reinsurer on funds held under reinsurance treaty	119,438	152,049
Other expenses	20,077	19,998
Total policy benefits and expenses	3,602,592	2,438,689
Gain from operations before federal income tax	107,731	79,112
Federal income tax benefit	(1,169)	(45,250)
GAIN FROM OPERATIONS	108,900	124,362
Net realized capital losses, net of applicable taxes (2014, $0; 2013, $0 and excluding net transfers to IMR 2014, $175,300; 2013, $233,172)	(4,260)	(6,211)
NET INCOME	$ 104,640	$ 118,151

See Notes to Statutory Financial Statements.

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

STATUTORY STATEMENTS OF CHANGES IN CAPITAL AND SURPLUS

for the years ended December 31 (dollars in thousands, except for share data)	Number of Shares	Common Stock	Paid-in and Contributed Surplus	Surplus Notes	Segregated Surplus	Unassigned (Deficit) Surplus	Total
BALANCE AT DECEMBER 31, 2012	30,000	$ 3,000	$ 1,446,414	$ 30,000	$ 95,703	$ (674,645)	$ 900,472
Net income	-	-	-	-	-	118,151	118,151
Change in net unrealized capital gains (losses)	-	-	-	-	-	26,013	26,013
Change in net deferred income tax	-	-	-	-	-	(25,328)	(25,328)
Change in nonadmitted assets and related items	-	-	-	-	-	37,079	37,079
Change in asset valuation reserve	-	-	-	-	-	(35,428)	(35,428)
Issuance of surplus note	-	-	-	195,000	-	-	195,000
Surplus withdrawn from Separate Accounts	-	-	-	-	-	30,940	30,940
Other changes in surplus in Separate Accounts	-	-	-	-	-	(30,940)	(30,940)
Cummulative effect of change in accounting for adoption of Iowa Rule 191 IAC 97	-	-	-	-	-	13,558	13,558
Reclassification of unassigned surplus due to quasi-	-	-	(805,817)	-		805,817	-
Amortization of segregated surplus for ceding commission on reinsurance transactions	-	-	-	-	(59,236)	-	(59,236)
Dividends paid to stockholders	-	-	-	-	-	(40,000)	(40,000)
Change in net unrealized capital gains (losses) from derivatives on reinsurance ceded	-	-	-	-	-	(22,027)	(22,027)
BALANCE AT DECEMBER 31, 2013	30,000	$ 3,000	$ 640,597	$ 225,000	$ 36,467	$ 203,190	$ 1,108,254
Net income	-	-	-	-	-	104,640	104,640
Change in net unrealized capital gains (losses)	-	-	-	-	-	7,199	7,199
Change in net deferred income tax	-	-	-	-	-	36,989	36,989
Change in net unrealized foreign exchange capital (loss)	-	-	-	-	-	(5,606)	(5,606)
Change in nonadmitted assets and related items	-	-	-	-	-	(43,596)	(43,596)
Change in asset valuation reserve	-	-	-	-	-	(35,652)	(35,652)
Surplus withdrawn from Separate Accounts	-	-	-	-	-	8,183	8,183
Other changes in surplus in Separate Accounts	-	-	-	-	-	(8,183)	(8,183)
Amortization of segregated surplus for ceding commission on reinsurance transactions	-	-	-	-	(29,644)	-	(29,644)
Additional capital contribution	-	-	60,000	-	-	-	60,000
Change in net unrealized capital gains (losses) from derivatives on reinsurance ceded	-	-	-	-	-	9,013	9,013
BALANCE AT DECEMBER 31, 2014	30,000	$ 3,000	$ 700,597	$ 225,000	$ 6,823	$ 276,177	$ 1,211,597

See Notes to Statutory Financial Statements.

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

STATUTORY STATEMENTS OF CASH FLOW

for the years ended December 31 (dollars in thousands)	2014	2013
CASH FROM OPERATIONS		
Premiums collected net of reinsurance	$ 2,546,113	$ 1,380,040
Net investment income	759,500	676,719
Miscellaneous income	22,764	23,589
Cash provided from revenues	3,328,377	2,080,348
Benefit and loss related payments	(1,509,511)	(1,529,340)
Commissions, expenses paid and aggregate write-in for deductions	(480,827)	(414,768)
Federal income taxes paid	(27,336)	(76,326)
Cash applied to general and other expenses	(2,017,674)	(2,020,434)
NET CASH PROVIDED BY OPERATIONS	1,310,703	59,914
CASH FROM INVESTMENTS		
Proceeds from investments sold, matured or repaid:		
Bonds	3,886,986	7,118,852
Stocks	13,552	113,935
Mortgage loans	45,192	2,409
Other invested assets	57,066	996
Miscellaneous proceeds	377,412	411,816
Total investment proceeds	4,380,208	7,648,008
Cost of investments acquired:		
Bonds	4,978,100	7,522,604
Stocks	381,351	146,448
Mortgage loans	147,988	103,480
Other invested assets	68,080	19,500
Miscellaneous applications	237,847	136,754
Total investments acquired	5,813,366	7,928,786
Net increase (decrease) in policy loans	202	(1,095)
NET CASH USED BY INVESTMENTS	(1,433,360)	(279,683)
CASH FROM FINANCING AND MISCELLANEOUS SOURCES		
Net withdrawals on deposit-type contracts and other insurance liabilities	(121,467)	(139,428)
Dividends to stockholders	-	(40,000)
Surplus note issued	-	195,000
Other cash provided (applied)	(24,216)	203,953
NET CASH (USED) PROVIDED IN FINANCING AND MISCELLANEOUS SOURCES	(145,683)	219,525
NET CHANGE IN CASH AND SHORT-TERM INVESTMENTS	(268,340)	(244)
CASH AND SHORT-TERM INVESTMENTS AT BEGINNING OF YEAR	687,288	687,532
CASH AND SHORT-TERM INVESTMENTS AT END OF YEAR	$ 418,948	$ 687,288
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION:		
Non-cash operating activity:		
Increase in investment in FGLICNY	$ -	$ 17,856
Non-cash financing and miscellaneous activity:		
Capital and paid-in surplus	$ 60,000	
Receivable from parent	$ (60,000)	

See Notes to Statutory Financial Statements.

NOTE 1: BASIS OF PRESENTATION AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accompanying financial statements include the accounts of Fidelity & Guaranty Life Insurance Company (the "Company"), an Iowa domiciled Life Insurance Company. The Company is a direct, wholly-owned subsidiary of Fidelity & Guaranty Life Holdings, Inc. ("FGLH"), a Delaware corporation, which is a direct, wholly-owned subsidiary of Fidelity & Guaranty Life ("FGL"), a Delaware corporation, which is a subsidiary of FS Holdco II, Ltd. a direct, wholly-owned subsidiary of HRG Group Inc. ("HRG"), formerly Harbinger Group Inc., who held an 80.1% interest at December 31, 2014. On November 1, 2013 the Company re-domesticated to Des Moines, Iowa from Baltimore, Maryland. Certain prior year amounts have been reclassified or combined to conform to the current year presentation. These reclassifications and combinations had no effect on previously reported results of operations.

(a) Business Concentration, Significant Risks and Uncertainties

The Company's primary business is the sale of individual life insurance products and annuities through independent agents, managing general agents, and specialty brokerage firms and in selected institutional markets. The Company's principal products are deferred annuities (including fixed indexed annuities), immediate annuities and life insurance products. Direct premiums generated from fixed indexed annuity ("FIA") products represented 60% and 59% of total statutory direct premiums in 2014 and 2013, respectively. The Company is licensed in forty-nine states, the District of Columbia and Puerto Rico and markets products in New York through its wholly owned subsidiary, Fidelity & Guaranty Life Insurance Company of New York ("FGLICNY"), which is domiciled in New York.

The Company is exposed to financial and capital markets risk, including changes in interest rates and credit spreads. The Company expects to continue to face challenges and uncertainties that could adversely affect the Company's results of operations, financial condition and liquidity.

The Company's exposure to interest rate risk relates primarily to the market price and cash flow variability associated with changes in interest rates. A rise in interest rates, in the absence of other countervailing changes, will increase the gross unrealized losses in the Company's investment portfolio and, if long-term interest rates rise dramatically within a six to twelve month time period, certain of the Company's products may be exposed to disintermediation risk. Disintermediation risk refers to the risk that policyholders may surrender their contracts in a rising interest rate environment, requiring the Company to liquidate assets in an unrealized loss position. This risk is mitigated to some extent by the high level of surrender charge protection provided by the Company's products combined with the interest maintenance reserve liability, the unrealized gains position and a favorable floating rate position.

(b) Basis of presentation

In connection with its re-domestication to Iowa and pursuant to Statement of Statutory Accounting Principles ("SSAP") No. 72, "Surplus and Quasi-reorganizations", the Iowa Insurance Division ("IID") granted the Company a permitted statutory accounting practice to reclassify its negative unassigned surplus balance of $805,817 to additional paid in capital as of April 6, 2011, the date of acquisition of the Company by HRG, which had the effect of setting the Company's statutory unassigned surplus to zero as of this date. The IID waived the six-month timeframe contained in SSAP No. 72 in connection with a change in control.

Upon re-domestication to Iowa, the Company elected to use the alternative accounting practices prescribed under Iowa Administrative Code ("IAC") Insurance 191, chapter 97 for indexed annuity products. Under these

alternative accounting practices prescribed by 191 IAC 97 "Accounting for Certain Derivative Instruments Used to Hedge the Growth in Interest Credited for Indexed Insurance Products and Accounting for the Indexed Insurance Products Reserve", the call option derivative instruments that hedge the growth in interest credited on index products are accounted for at amortized cost with the corresponding amortization recorded as a decrease to net investment income and indexed annuity reserves are calculated based on Standard Valuation Law and Actuarial Guideline XXXV, "The Application of the Commissioners Annuity Reserve Method to Equity Indexed Annuities", assuming the market value of the call options associated with the current index term is zero regardless of the observable market value for such options. The Company's FIA products constitute "indexed annuity products" and the derivatives hedging the Company's FIA products constitute "eligible derivative assets" as defined in 191 IAC 97.3. As such, the Company elected to account for such eligible derivative assets at amortized cost pursuant to 191 IAC 97.4 and to determine indexed annuity product reserve calculations based on Actuarial Guideline XXXV, assuming the market value of the eligible derivative assets associated with the current interest crediting period is zero, and reflect the interest credit in the reserve when realized based on the actual performance of the relevant external index or indices pursuant to 191 IAC 97.5. This change in accounting practice is effective retroactively to January 1, 2013. The effect of this election at January 1, 2013 is an increase in surplus of $13,558 and is reflected in the Statement of Changes in Capital and Surplus as a cumulative effect of changes in accounting principles. This cumulative effect adjustment in 2013 is comprised of a decrease in reserves of $58,606, an increase in net deferred tax assets of $24,742, and an increase in the Company's investment in affiliated common stock of $18,746, partially offset by a decrease in the equity option assets of $70,692 and an increase in the current tax liability of $17,844.

The increase in the Company's investment in affiliated common stock represents an increase in the statutory surplus of its subsidiary, Raven Reinsurance Company ("Raven Re") due to a decrease in the FIA reserve liability ceded to Raven Re under the waiver of surrender charge ("WSC") reinsurance treaty. In accordance with the WSC treaty, the Company will determine the reserve credit for the waiver of surrender charge risk ceded to Raven Re, and Raven Re will determine its assumed reserves, under statutory accounting principles for the state of domicile of the Company which includes the election by the Company to follow the alternative accounting practices prescribed by 191 IAC 97. The Commissioner of the Vermont Department of Financial Regulation (the "Vermont Department") approved and permitted Raven Re to also follow the alternative accounting practices prescribed by 191 IAC 97. Raven Re's surplus increased $18,746 at January 1, 2013 as a result of adopting 191 IAC 97 which is comprised of a decrease in its reserve liability of $28,840 and an increase in its current tax liability of $10,094.

If the Company had not elected the adoption of the alternative prescribed accounting practice, statutory surplus would have increased by $4,955 at December 31, 2014 and decreased by $11,517 at December 31, 2013. Additionally, net income would have increased by $49,103 and decreased by $118,989 for the years ended December 31, 2014 and 2013, respectively. The Company's risk-based capital ("RBC") would not have triggered a regulatory event had it not adopted the alternative prescribed accounting practice described above.

A reconciliation of the Company's net income and capital and surplus between National Association of Insurance Commissioners ("NAIC") Statutory Accounting Principles ("SAP") and practices prescribed and permitted by the IID:

For the years ended December 31	2014	2013
NET INCOME (LOSS)		
Iowa Basis	$ 104,640	$ 118,151
Iowa prescribed practices that increase/decrease NAIC SAP:		
Indexed annuity reserves and related assets 191 IAC 97	(49,103)	118,989
NAIC SAP	$ 153,743	$ (838)

As of December 31	2014	2013
CAPITAL AND SURPLUS		
Iowa Basis	$ 1,211,597	$ 1,108,254
Iowa prescribed practices that increase/decrease NAIC SAP:		
Indexed annuity reserves and related assets 191 IAC 97	(4,955)	11,517
NAIC SAP	$ 1,216,552	$ 1,096,737

The Company has no other statutory accounting practices that differ materially from those of NAIC SAP other than the aforementioned 191 IAC 97 and the application of SSAP No. 72 after the expiration of the six-month timeframe prescribed in SSAP No. 72.

At December 31, 2014 and 2013, the Company's investment in affiliated common stock for Raven Re reflects the subsidiary's effect of the Vermont Department permitted accounting practice for Raven Re's letter of credit ("LOC") as an admitted asset for $245,000 and $270,000, respectively. The LOC was secured by Raven Re to finance the statutory reserves resulting from the Raven Re WSC reinsurance treaty entered in with the Company. In accordance with the LOC agreement, the letter of credit decreases $6,250 on the first day of each calendar quarter.

The preparation of financial statements in conformity with statutory accounting principles requires management to make estimates and assumptions that affect amounts reported in the financial statements and accompanying notes. Such estimates and assumptions could change in the future as more information becomes known, which could impact the amounts reported and disclosed herein.

These financial statements have been prepared on the basis of accounting practices permitted or prescribed by the IID. These practices vary in certain respects from U.S. generally accepted accounting principles ("GAAP") and the variances are presumed to be material. The more significant variances from GAAP are as follows:

- In the statutory statements of admitted assets, liabilities, and capital and surplus, bonds and preferred stocks are generally carried at amortized cost with certain investments in bonds and unaffiliated preferred stocks and all unaffiliated common stocks carried based on estimated fair values. For GAAP, such

investments are designated at purchase as held-to-maturity, trading, or available-for-sale. Held-to-maturity investments are reported at amortized cost, and the remaining investments are reported at fair value with unrealized holding gains and losses reported in operations for those designated as trading and as a separate component of accumulated other comprehensive income in shareholders' equity net of certain adjustments for those designated as available-for-sale.

- The costs of acquiring and renewing business are expensed when incurred. Under GAAP, acquisition costs related to traditional life insurance, to the extent recoverable from future policy revenues, are deferred and amortized over the premium-paying period of the related policies using assumptions consistent with those used in computing policy benefit reserves. For universal life insurance and investment products, to the extent recoverable from future gross profits, deferred policy acquisition costs are generally amortized over the lives of the policies in relation to the incidence of estimated gross profits ("EGPs") from investment income, surrender charges and other product fees, policy benefits, maintenance expenses, mortality net of reinsurance ceded and expense margins, and recognized gains (losses) on investments and changes in fair value of the coinsurance embedded derivative.
- Certain policy reserves are calculated using statutory limitations on interest and mortality assumptions rather than on estimated expected experience or actual account balances as is required under GAAP.
- Deferred federal income tax assets, net of deferred tax liabilities, arising from the differences between the financial statement and the tax bases of assets and liabilities are computed at the Company's current enacted tax rate. The net assets are limited based on admissibility tests in accordance with SSAP No. 101, "Income Taxes", and are recorded directly in unassigned surplus. Deferred income tax expense is recorded in operations under GAAP.
- Certain assets are designated as "nonadmitted" under statutory accounting practices. These assets include certain agents' debit balances, capitalized software, prepaid expenses, negative interest maintenance reserve ("IMR") and a portion of deferred tax assets. Nonadmitted assets are excluded from the statutory-basis balance sheet and are charged directly to unassigned surplus.
- The accounts and operations of the Company's subsidiaries are not consolidated with the accounts and operations of the Company as would be required under GAAP.
- Under a formula prescribed by the NAIC, the Company defers the portion of realized gains and losses on fixed maturity investments, principally bonds, preferred stocks, surplus debentures and mortgage loans, attributable to changes in the general level of interest rates. The Company amortizes those deferrals over the remaining period to expected maturity based on groupings of the individual securities. The groupings are done in five-year bands. That net deferral is reported as the IMR in the accompanying statutory statements of admitted assets, liabilities, and capital and surplus. A negative IMR is reported as a nonadmitted asset. Realized gains and losses are reported in income net of tax and net of transfers to the IMR. Capital gain taxes are capitalized into IMR based on a methodology wherein tax operating losses are offset against tax capital gains prior to calculating capital gain taxes. This method follows an actual tax return methodology approach and is applied on a standalone company level. Under GAAP, realized gains and losses are reported in the income statement on a pre-tax basis in the period that the asset giving rise to the gain or loss is sold. Also under GAAP, when there has been a decline in fair value deemed other than temporary the loss is reported in the income statement or other comprehensive income. The asset valuation reserve ("AVR") is computed in accordance with an NAIC prescribed formula and represents a provision for possible fluctuations in the value of bonds, equity securities, mortgage loans, real estate, and other invested assets. The asset valuation reserve is reported as a liability. Under GAAP, an asset valuation reserve is not established.
- Policy and contract liabilities ceded to reinsurers have been reported as reductions of the related direct reserves rather than as reinsurance recoverable assets as required under GAAP.

- Revenues for universal life insurance and investment products, except those that do not incorporate mortality or morbidity risk, consist of the entire premium received and benefits represent the death and surrender benefits paid and the change in policy reserves. Under GAAP, premiums received in excess of policy charges are not recognized as premium revenue and benefits represent the excess of benefits paid over the policy account value and interest credited to the account values.
- A liability for reinsurance balances is provided for unsecured policy reserves ceded to reinsurers not authorized by the IID to assume such business. Changes to those amounts are credited or charged to unassigned surplus. Under GAAP, an allowance for amounts deemed uncollectible would be established through a charge to earnings.
- Cash and short-term investments in the statement of cash flow represent cash balances and investments with initial maturities of one year or less. Under GAAP, the corresponding captions of cash and cash equivalents include cash balances and investments with initial maturities of three months or less.
- Unrealized gains/losses on derivative instruments not qualifying for hedge accounting are recorded as a surplus adjustment. Under GAAP, such unrealized gains/losses are reflected in the results of operations.

(c) Investments

Statement values:
Investments are reported according to valuation procedures prescribed by the NAIC. Bonds including loan-backed and structured securities are carried at amortized cost using the interest method, except for those bonds deemed to be other than temporarily impaired ("OTTI) and those bonds rated NAIC 6, which are carried at the lower of amortized cost or fair value. Bonds deemed to be OTTI are written down through the statement of operations to estimated fair value except for loan-backed and structured securities which the Company has no intent to sell and has the intent and ability to retain such assets; which are written down through the statement of operations to the amount of the discounted estimated future cash flows.

Preferred stocks are reported at amortized cost, except for those preferred stocks rated NAIC 4 or lower, which are carried at the lower of amortized cost or fair value, or those preferred stocks deemed to be other-than-temporarily impaired which are written down to estimated fair value.

The Company generally considers the following in determining whether the Company's investments in bonds and preferred stocks in an unrealized loss position are OTTI:

- The estimated range and average period until recovery;
- Current delinquencies and nonperforming assets of underlying collateral;
- Expected future default rates;
- Collateral value by vintage, geographic region, industry concentration or property type;
- Subordination levels or other credit enhancements as of the balance sheet date as compared to origination;
- Contractual and regulatory cash obligations; and
- Length of time and magnitude of the unrealized loss.

The Company also recognizes OTTI on bonds, including loan-backed and structured securities, and preferred stocks in an unrealized loss position when one of the following circumstances exists:

- The Company does not expect full recovery of its amortized cost based on the estimate of cash flows expected to be collected,

- The Company intends to sell a security, or
- It is more likely than not that the Company will be required to sell a security prior to recovery.

When assessing the Company's intent to sell a bond or preferred stock, or if it is more likely than not the Company will be required to sell a bond or preferred stock before recovery of its cost basis, the Company evaluates facts and circumstances such as, but not limited to, decisions to reposition the Company's security portfolio, sale of securities to meet cash flow needs and sales of securities to capitalize on favorable pricing.

The Company deems a loan-backed or structured security to be OTTI impaired if the security was ever rated an NAIC 6, is in default of principal and/or interest or it is probable that the security will default on contractual principal or interest payments or if the Company has the intent to sell the security or does not have the intent and ability to retain the security until its amortized cost is recovered. Loan-backed and structured securities are also deemed other-than-temporarily impaired if the discounted estimated future cash flows are less than amortized cost. OTTI of loan-backed and structured securities are bifurcated into interest and non-interest related portions. The non-interest portion is the difference between the present value of cash flows expected to be collected from the security and the amortized cost basis of the security. The interest portion is the difference between the present value of cash flows expected to be collected from the security and its fair value at the balance sheet date. If there is no intent to sell and the Company has the intent and ability to retain the investment to recovery, then only the non-interest loss is recognized through earnings.

In periods subsequent to the recognition of an OTTI loss for a bond or preferred stock, the Company accounts for the OTTI security as if the security had been purchased on the measurement date of the OTTI. The fair value of the security on the measurement date becomes the new cost basis of the security and the new cost basis is not adjusted for subsequent recoveries in fair value. The discount or reduced premium recorded for the bond or redeemable preferred stock, based on the new cost basis, is amortized over the remaining life of the security in the prospective manner based on the amount and timing of future estimated cash flows. The security continues to be subject to impairment analysis for each subsequent reporting period. Future declines in fair value which are determined to be other-than-temporary are recorded as realized losses.

Anticipated prepayments for loan-backed bonds and structured securities are considered when determining the accretion of discount or amortization of premium for these securities. Significant changes in estimated cash flows from the original purchase assumptions are accounted for using the retrospective method with the exception of loaned-backed and structured securities where the yield has become negative. These securities are accounted for using the prospective method. Prepayment assumptions are obtained from dealer survey values and are consistent with the current interest rate and economic environment.

Common stocks of unaffiliated companies are reported at year-end fair value. Perpetual preferred stocks and common stocks are deemed to be OTTI if the Company does not have the ability and intent to hold the security for a sufficient period of time to allow for a recovery in value.

FGLICNY and Raven Re, the Company's insurance and reinsurance subsidiaries, are reported based upon the audited equity in the underlying statutory net assets, and the Company's noninsurance subsidiaries are reported based upon the unaudited GAAP equity in the net assets adjusted to a statutory basis and are non-admitted.

Short-term investments are carried at amortized cost, which approximates fair value and include investments with maturities of less than one year at the date of acquisition. Policy loans are reported at unpaid principal

balances and commercial mortgage loans are reported at amortized cost. There were no allowances for loan losses as of December 31, 2014 and 2013.

Surplus debentures are carried principally at amortized cost using the interest method, except for those with an NAIC rating less than 1. Surplus debentures with an NAIC rating less than 1 are valued (1) at outstanding face value when the notes were issued by a reporting entity whose capital and surplus is greater than or equal to the greater of 5% of its admitted assets or $6,000 or (2) by applying a "statement factor" to the outstanding face amount of the surplus notes when the notes were issued by a reporting entity when capital and surplus is less than or equal to the greater of 5% of its admitted assets or $6,000.

The statement value of mortgage and other loans and limited partnerships are evaluated and adjusted for any impairment in value that is determined to be other than temporary. The amount of such write-down is charged directly to operations. A mortgage loan is determined to be other than temporarily impaired when, based on current information and events, it is probable that the Company will be unable to collect all amounts due according to the contractual terms of the loan agreement. Limited partnerships are determined to be OTTI if it is probable that the Company will be unable to recover the carrying amount of its investment or there is evidence indicating that the partnership will not be able to sustain earnings which justify the carrying amount of the investment. No impairment losses were recognized in 2014 or 2013 on mortgage or other loans. The Company recognized impairment losses of $323 and $886 on limited partnerships in 2014 and 2013, respectively.

The Company uses static and dynamic hedging strategies to hedge the equity linked liability underlying its FIA products and its equity indexed universal life ("EIUL") products. Exchange traded equity indexed and volatility linked futures and options and over the counter options are used to hedge market exposures of the liabilities with the objective of offsetting fair value changes and to manage the effect of policyholder behavior such as the option to switch after annual renewals. The indices underlying the futures and options are the same indices referenced by the FIAs and EIULs. The futures and options are matched to the liabilities with respect to equity index movements frequently. Other market exposures are hedged periodically depending on market conditions and the Company's risk tolerance. Static and dynamic hedging exposes the Company to the risk that unhedged market exposures result in divergence between changes in the fair value of the liabilities and the hedging assets. The Company uses a variety of techniques including direct estimation of market sensitivities and value-at-risk to monitor this risk daily. The Company intends to continue to adjust the strategy as product design evolves, and as market conditions and the Company's risk tolerance change.

Effective January 1, 2013, equity call options which economically hedge the Company's FIA products are stated at amortized cost as described in note 1(b), with amortization recognized as a reduction in net investment income on a straight line basis over the term of the call options. Gains and losses realized on the call options hedging the FIA products are also recognized in net investment income effective January 1, 2013.

Equity call options which economically hedge the Company's EIUL products and, prior to January 1, 2013, the FIA products are recorded at fair value. The fair value of equity call options are based upon quoted market prices and valuation pricing models and represent what the Company would expect to receive or pay at the balance sheet date if the Company cancelled the options, entered into offsetting option positions, or exercised the options. Call options hedging the EIUL products and, prior to January 1, 2013, the FIA products are marked to market through surplus (fair value accounting). Realized gains (losses) on the call options hedging the EIUL products and, prior to January 1, 2013, the FIA products are included in IMR and amortized into income over the remaining duration of the derivative contract. Equity call options are included in "Derivative instruments" within invested assets of the Statement of Admitted Assets, Liabilities and Capital and Surplus.

Futures contracts are valued at fair value with changes in fair value recorded as unrealized gains or losses and included in surplus. The fair value of futures contracts at the balance sheet date represents the cumulative unsettled variation margin. Futures contracts are marked to market through surplus (fair value accounting). Realized gains (losses) on futures contracts are included in IMR and amortized into income over the remaining duration of the futures contract. The Company provides cash collateral to the counterparties for the initial and variation margin requirements on the futures contracts which is included in "Cash and short term investments" of the Statement of Admitted Assets, Liabilities and Capital and Surplus.

The derivative instruments used by the Company expose the Company to potential credit loss in the event of nonperformance by counterparties. The amount of exposure is the fair value for such agreement with each counterparty if the fair value is in the Company's favor. The credit risk associated with these agreements is minimized by purchasing agreements from counterparties with NAIC designations of "1." Additionally, the Company maintains a policy requiring all derivative contracts to be governed by International Swaps and Derivatives Association ("ISDA") Master Agreements. The Company is required to maintain minimum ratings as a matter of routine practice in negotiating ISDA agreements. Under some ISDA agreements, the Company has agreed to maintain certain financial strength ratings. A downgrade below these levels could result in termination of the open derivative contracts between the parties, at which time any amounts payable by the Company or the counterparty would be dependent on the market value of the underlying derivative contracts. Downgrades of the Company have given multiple counterparties the right to terminate ISDA agreements. No ISDA agreements have been terminated, although the counterparties have reserved the right to terminate the ISDA agreements at any time. In certain transactions, the Company and the counterparty have entered into a collateral support agreement requiring either party to post collateral when the net exposures exceed pre-determined thresholds. These thresholds vary by counterparty and credit rating. Any cash collateral posted by the counterparties is included in "Cash and short-term investments" with an associated payable for the collateral included in "Options collateral payable" of the accompanying Statement of Admitted Assets, Liabilities and Capital and Surplus. Non-cash collateral posted by the counterparties is held by a third-party custodian and is not included on the Company's Statement of Admitted Assets, Liabilities and Capital and Surplus.

Investment income:

Interest on fixed maturities, except those in default, is recorded as investment income when it is earned and is adjusted for any amortization of premium or accretion of discount. Dividends are recorded as income on ex-dividend dates for common and preferred stock held on the day before the ex-dividend dates. Interest income from mortgage loans is recorded as earned, except on loans in foreclosure or where collection is uncertain. Interest on policy loans is recorded as investment income when earned. Realized gains and losses are determined on the trade date using the specific identification method.

(d) Aggregate reserves

Life, annuity, and accident and health benefit reserves are developed by actuarial methods and are determined based on published tables using statutorily specified limits on interest rates that vary between 2.75% and 14.50%. The valuation methods provide, in the aggregate, reserves that are greater than or equal to the minimum or guaranteed policy cash values or the amounts required by the State of Iowa.

As described in note 1(b), the Company elected to calculate the reserve liability for its FIA products based on Actuarial Guideline XXXV, assuming the market value of the eligible derivative assets associated with the current

interest crediting period is zero, and reflect the interest credit in the reserve when realized based on the actual performance of the relevant external index or indices.
The Company waives deduction of deferred fractional premiums upon the death of life and annuity policy insureds and returns any portion of the premium beyond the date of death. Surrender values are not promised in excess of the legally computed reserves. Additional reserves are established when the results of cash flow testing under various interest rate scenarios indicate the need for such reserves or the net premiums exceed the gross premiums on any insurance in force.

The extra reserve liability for table rated extra premiums and for flat extra premiums is incorporated in the reserve calculation for Universal Life business. The extra reserves secured in this manner are approximately equivalent to the additional reserves needed for substandard mortality and are assumed to represent the increased mortality of the substandard risks. The extra reserve liability for table rated extra premiums on term insurance and for flat extra premiums on all insurance is taken as one-half of the extra annual premium for the insurance in force with these extra premiums. This is done on the assumption that the risks covered by the extra premium will have extra mortality that remains constant or decreases with increases in attained age.

At December 31, 2014 and 2013, the Company had $6,504,171 and $7,720,435 respectively, of insurance in force for which the gross premiums are less than the net premiums according to the standard of valuation set by the IID. Reserves to cover the deficiency on the above insurance in force totaled $86,300 and $104,659 at December 31, 2014 and 2013, respectively.

The tabular interest, tabular less actual reserve released and tabular cost for life insurance products have been determined by formula. These amounts for annuity products have been determined from the basic data for the calculation of policy reserves. The tabular interest on funds not involving life contingencies for each valuation rate of interest is approximated based on cash flow interest credits as well as valuation rate of interest held at the beginning and end of the year of valuation. The liabilities related to guaranteed investment contracts and policyholder funds left on deposit with the Company are generally equal to fund balances.

(e) Recognition of premium revenues and related expenses

All premium and annuity considerations are recognized as revenue over the premium paying period except amounts received on contracts that do not incorporate mortality or morbidity risk. These premiums are recorded directly to a liability account. Expenses, including commissions and other acquisition, maintenance, and settlement costs are charged to operations as incurred. Commissions and other acquisition costs, together with required additions to reserves, generally exceed the amount of the premium in the year that a policy is written.

(f) Reinsurance

Reinsurance premiums, commissions, expense reimbursements, claims and claim adjustment expenses related to reinsured business are generally accounted for on a basis consistent with that used in accounting for the original policies issued and with the terms of the reinsurance contracts. Premiums and claims and claim adjustment expenses for the Company's insurance products are reported net of amounts ceded to other companies.

A liability is provided for unsecured policy reserves on reinsurance ceded to companies not authorized to assume business in the State of Iowa. Changes in this liability are reported directly in unassigned surplus.

(g) Policy and contract claims

The liability for claims represents the amount needed to provide for the estimated ultimate cost of settling claims relating to insured events that have occurred on or before the end of the respective reporting period. The liability includes a provision for claims that have been reported to the insurer and claims related to insured events that have occurred but that have not been reported to the insurer.

(h) Separate Accounts and Federal Home Loan Bank of Atlanta Funding Agreements

The separate account of the Company represents funds related to funding agreements that have been issued to the Federal Home Loan Bank of Atlanta ("FHLB"). In 2003, the Company became a member of the FHLB and the Maryland Insurance Administration ("MIA") approved the Company's Plan of Operation for a Separate Account to be used as a funding medium for single premium funding agreements issued by the Company to the FHLB. The FHLB Separate Account was established pursuant to Sections 16-113 and 5-512(d), (g), (h), (i), (j) and (k) of the Insurance Article of the Annotated Code of Maryland and maintained pursuant to sections 508A.1, 508.31A and 508.32 of the Iowa Code. The MIA also approved the form of the funding agreements to be issued to the FHLB.

Funding agreements were issued to the FHLB in 2003, 2004, 2005, 2011 and 2012. There were no funding agreements issued in 2014 and 2013. The funding agreements (i.e., immediate annuity contracts without life contingencies) provide a guaranteed stream of payments. Single premiums were received at the initiation of the funding agreements and were in the form of advances from the FHLB. Payments under the funding agreements extend through 2022. Reserves are based on the present value of the income payments and are calculated in accordance with Actuarial Guideline IX. The valuation interest rate, in accordance with the Standard Valuation Law, is derived from the issue year method and guarantee duration equal to the number of years from issue to the date the first payment begins. The reserves for the funding agreement are reported in the Separate Account and totaled $477,159 and $493,417 at December 31, 2014 and 2013, respectively.

In accordance with the FHLB Separate Account Plan of Operation, the investments supporting the funding agreement liabilities are held in the FHLB Separate Account at amortized cost. A significant portion of the FHLB Separate Account investments are pledged as collateral to secure the FHLB funding agreement liabilities. The FHLB Separate Account investments which are pledged as collateral had a carrying value of $544,366 and a fair value of $568,158 at December 31, 2014 and a carrying value of $571,081 and a fair value of $588,579 at December 31, 2013. The maximum amount of collateral pledged during 2014 and 2013 were $544,366 and $571,081, respectively, with a corresponding fair value of $604,184 and $588,579, respectively. The amount borrowed at the time of maximum collateral was $525,760 and $538,082 for 2014 and 2013, respectively. The Company had a maximum borrowing capacity of $23,420 and $4,792 at December 31, 2014 and 2013, respectively. The Company calculated these amounts in accordance with the lendable collateral value under the current FHLB funding agreements, which is the fair value of collateral pledged times the lendable collateral value factors.

At December 31, 2014 and 2013, the Company held in the general account 381,948 and 443,050 shares, respectively, of FHLB common stock not eligible for redemption. The stock had a book/adjusted carrying value, which is equal to cost, of $38,195 and $44,305 at December 31, 2014 and 2013, respectively. The table below discloses the classification of the FHLB common stock.

As of December 31,	2014		2013	
	Shares	Statement Value	Shares	Statement Value
Membership stock - Class B	150,000	$ 15,000	200,000	$ 20,000
Activity stock	231,948	23,195	243,050	24,305
Total FHLB Stock owned in the General Account	381,948	$ 38,195	443,050	$ 44,305

Receivables from the separate accounts are classified as a reduction of the general account liabilities in accordance with SSAP No. 56 "Separate Accounts". There was no amount receivable from or payable to the separate account at December 31, 2014 or December 31, 2013. The separate accounts of the Company include reserves for contracts that are calculated on a basis consistent with the general account reserves.

(i) Taxes

The Company files a consolidated federal income tax return with its subsidiaries, FGLICNY and Raven Re. No limitations are placed on the sharing of net operating losses, tax credits or capital losses among the insurance companies as a result of this election.

The Company is subject to a tax sharing agreement with FGLICNY and Raven Re which was approved by the MIA and grandfathered by the IID, and approved by the New York State Department of Financial Services ("NYSDFS") and the Vermont Department. The agreement provides for an allocation based on separate return calculations and allows for reimbursement of Company tax benefits absorbed by FGLICNY and Raven Re. The NYSDFS requires the Company to hold an escrow for the benefit of FGLICNY under this tax sharing agreement should the Company be unable to reimburse FGLICNY. Cash and bonds held in the FGLICNY tax sharing agreement escrow account had a fair value of $6,207 and $5,857 and a carrying amount of $5,611 and $5,652 at December 31, 2014 and 2013, respectively.

(k) Change in accounting policy

Effective January 1, 2014, the Company changed its accounting policy related to the capitalization of fixed assets to (1) include internal software development costs and (2) refine the estimated useful life periods for each fixed asset category. The effects of these changes were immaterial to the current and prior year fixed assets and depreciation expense.

NOTE 2: INVESTMENTS

(a) Components of net investment income are as follows:

For the years ended December 31	2014	2013
Income:		
Interest on bonds	$ 767,055	$ 712,422
Preferred stock dividends	28,423	11,382
Surplus debentures	29,122	6,221
Interest on short-term investments	513	995
Mortgage loan interest	3,745	1,215
Derivatives	182,324	156,246
Other, net	3,629	4,041
Gross investment income	1,014,811	892,522
Expenses	16,797	11,861
Net investment income	$ 998,014	$ 880,661

(b) Components of net realized capital gains (losses) are as follows:

For the years ended December 31	2014	2013
Bonds	$ 125,575	$ 174,706
Preferred stocks	(10)	(2,218)
Derivative financial instruments	41,703	55,253
Common stocks	164	165
Other	3,608	(945)
Net realized capital gains before deferral to IMR	171,040	226,961
Net gains deferred to IMR	175,300	233,172
Net realized capital losses	$ (4,260)	$ (6,211)

(c) Carrying amount and fair value of bonds, preferred and common stock and surplus debentures are as follows:

	Carrying Amount	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
At December 31, 2014				
U.S. Government	$ 337,385	$ 1,538	$ 99	$ 338,824
Foreign government	99,264	3,604	145	102,723
States & political subdivisions	325,469	35,382	896	359,955
Special revenue & special assessment	914,331	110,318	1,694	1,022,955
Industrial and miscellaneous	12,399,077	583,054	131,885	12,850,246
Hybrid	1,310,392	48,566	25,475	1,333,483
Affiliated	515,430	1,514	1,894	515,050
Total bonds	$ 15,901,348	$ 783,976	$ 162,088	$ 16,523,236
Preferred stocks-unaffiliated	$ 618,744	$ 19,137	$ 3,038	$ 634,843
Common stocks (a)	$ 292,320	$ -	$ -	$ 292,320
Surplus debentures	$ 370,412	$ 59,840	$ -	$ 430,252
At December 31, 2013				
U.S. Government	$ 200,951	$ 1,066	$ 1,191	$ 200,826
Foreign government	44,519	288	-	44,807
States & political subdivisions	327,652	15,227	17,049	325,830
Special revenue & special assessment	827,679	31,523	27,840	831,362
Industrial and miscellaneous	12,831,367	427,254	209,637	13,048,984
Hybrid	420,166	10,535	10,564	420,137
Affiliated	310,068	1,595	4	311,659
Total bonds	$ 14,962,402	$ 487,488	$ 266,285	$ 15,183,605
Preferred stocks-unaffiliated	$ 217,171	$ 378	$ 14,162	$ 203,387
Common stocks (a)	$ 292,068	$ -	$ -	$ 292,068
Surplus debentures	$ 101,409	$ 8,199	$ -	$ 109,608

(a) Includes investment in subsidiaries of $248,485 and $243,495 for 2014 and 2013, respectively

(d) Securities in an unrealized loss position that could potentially be other-than-temporarily impaired

As part of the Company's ongoing securities monitoring process by a committee of investment and accounting professionals, the Company identifies securities in an unrealized loss position that could potentially be OTTI. See note 1 for the Company's accounting policy for other than temporarily impaired investment assets. Due to the issuers' continued satisfaction of the securities' obligations in accordance with their contractual terms and the expectation that they will continue to do so, and for loan-backed and structured securities the present value of cash flows expected to be collected is at least the amount of the amortized cost basis of the security, management's intent and ability to hold these securities for a period of time sufficient to allow for any anticipated recovery in fair value, as well as the evaluation of the fundamentals of the issuers' financial condition and other objective evidence, the Company believes that the fair values of the securities in the sectors identified in the tables below were temporarily depressed as of December 31, 2014. The following tables present the Company's unrealized loss aging by investment type and length of time the security was in a continuous unrealized loss position at December 31, 2014 and 2013.

	Less than 12 months		12 months or more		Total	
	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses
At December 31, 2014						
U.S. Government	$ 17	$ 84	$ 226	$ 15	$ 243	$ 99
Foreign government	16,439	145	-	-	16,439	145
States & political subdivisions	-	-	69,940	896	69,940	896
Special revenue & special assessment	9,407	91	113,051	1,603	122,458	1,694
Industrial and miscellaneous	827,222	31,884	1,136,388	52,347	1,963,610	84,231
Loan-backed and structured securities	1,095,487	24,339	696,950	23,315	1,792,437	47,654
Hybrid bonds	345,231	4,762	256,243	20,713	601,474	25,475
Affiliated bonds	215,550	1,299	19,405	595	234,955	1,894
Total Bonds	$ 2,509,353	$ 62,604	$ 2,292,203	$ 99,484	$ 4,801,556	$ 162,088
Preferred stocks-unaffiliated	$ 102,641	$ 930	$ 60,088	$ 2,108	$ 162,729	$ 3,038
Total temporarily impaired securities	$ 2,611,994	$ 63,534	$ 2,352,291	$ 101,592	$ 4,964,285	$ 165,126

	Less than 12 months		12 months or more		Total	
	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses
At December 31, 2013						
U.S. Government	$ 151,368	$ 1,137	$ 133	$ 54	$ 151,501	$ 1,191
States & political subdivisions	156,218	14,275	19,857	2,774	176,075	17,049
Special revenue & special assessment	458,935	21,830	47,586	6,010	506,521	27,840
Industrial and miscellaneous	3,555,103	168,444	345,253	18,334	3,900,356	186,778
Loan-backed and structured securities	879,743	17,952	162,462	4,907	1,042,205	22,859
Hybrid bonds	148,546	4,607	81,193	5,957	229,739	10,564
Affiliated bonds	1,576	4	-	-	1,576	4
Total Bonds	$ 5,351,489	$ 228,249	$ 656,484	$ 38,036	$ 6,007,973	$ 266,285
Preferred stocks-unaffiliated	$ 159,939	$ 13,771	$ 9,204	$ 391	$ 169,143	$ 14,162
Total temporarily impaired securities	$ 5,511,428	$ 242,020	$ 665,688	$ 38,427	$ 6,177,116	$ 280,447

At December 31, 2014, securities in an unrealized loss position were primarily concentrated in investment grade corporate debt instruments. Total unrealized losses decreased by $115,321 between December 31, 2013 and 2014. The decrease was primarily due to the decrease in interest rates during the year and corresponding increase in fair value of government and corporate debt securities.

At December 31, 2014 and 2013, securities representing less than 2% of the carrying values of all investments were depressed greater than 20% of amortized cost. Based upon the Company's current evaluation of these securities in accordance with its impairment policy and the Company's intent to retain these investments for a period of time sufficient to allow for recovery in value, the Company has determined that these securities are not OTTI.

The following tables present the Company's unrealized loss aging, by length of time the security was in a continuous greater than 20% unrealized loss position at December 31, 2014 and 2013.

	2014			2013		
Consecutive Months	Carrying Value	Fair Value	Unrealized Losses	Carrying Amount	Fair Value	Unrealized Losses
Six months or less	$ 51,979	$ 39,966	$ 12,013	$ 92,576	$ 72,667	$ 19,909
Six to twelve months	-	-	-	11,888	8,794	3,094
Greater than 12 months	607	102	505	2,646	192	2,454
Grand Total	$ 52,586	$ 40,068	$ 12,518	$ 107,110	$ 81,653	$ 25,457

The securities depressed over 20% for twelve consecutive months or greater in the table above relate to financial service sector securities. Financial services sector securities include corporate bonds, as well as preferred equity issued by large financial institutions that are lower in the capital structure and, as a result have incurred greater price depressions. Based upon the Company's analysis of these securities and current macroeconomic conditions, the Company expects these securities to pay in accordance with their contractual obligations and, therefore, has determined that these securities are not OTTI as of December 31, 2014. Structured securities primarily are residential mortgage-backed securities ("RMBS") issues, including sub-prime and Alternative A-paper ("Alt-A") mortgage loans and commercial mortgage-backed ("CMBS") securities. Based upon the Company's ability and intent to retain the securities until recovery and cash flow modeling results, which demonstrate recovery of amortized cost, the Company has determined that these securities are not OTTI as of December 31, 2014. Certain structured securities were deemed to be other than temporarily impaired, which resulted in the recognition of credit losses under SSAP No. 43R. The securities with previous credit impairment losses continue to be in an unrealized loss position at December 31, 2014 as the securities were not written down to fair value due to the Company's intent to hold these securities until recovery and cash flow modeling results which support recovery of the current amortized cost of the securities.

(e) Carrying amount and fair value by contractual maturity of bonds at December 31, 2014 are as follows:

	Carrying Amount	Fair Value
Maturing in:		
2015	$ 271,488	$ 273,749
2016 through 2019	2,510,290	2,552,417
2020 through 2024	2,836,152	2,916,129
After 2024	5,854,958	6,262,937
Subtotal	11,472,888	12,005,232
Mortgage-backed securities	2,302,399	2,411,940
Asset-backed securities	2,126,061	2,106,064
Total	$ 15,901,348	$ 16,523,236

Expected maturities may differ from contractual maturities because certain borrowers may have the right to call or prepay their obligations with or without prepayment penalties.
Surplus debentures with a fair value of $527 mature during 2015; $62,688 mature in the period 2019 to 2024; and $367,037 mature subsequent to 2024.

(f) Proceeds from the sale of bonds

Proceeds from the sale of bonds totaled $2,267,979 in 2014 and $5,299,963 in 2013. Gross gains on the sale of bonds totaled $143,169 in 2014 and $200,838 in 2013; gross losses totaled $19,022 in 2014 and $24,200 in 2013. Net realized gains after tax of $154,035 and $203,962, including gains on sales of derivatives, were transferred to the IMR in 2014 and 2013, respectively. The realized gains and losses transferred to the IMR are from all disposal types (sales, paydowns, maturities, etc.).

(g) Other than temporary impairments on bonds, excluding loan-backed and structured securities, and preferred stocks

For the years ended December 31, 2014 and 2013 the Company recognized losses totaling $3,266 and $4,343, respectively, related to bonds which experienced OTTI based upon a carrying value of $14,082 and $9,193 and a fair value of $10,816 and $4,850, respectively, at the time of impairment. The impairments on these bonds resulted from declines in the financial condition and short term prospects of the issuers. The Company did not recognize impairments on preferred stocks in 2014 or 2013.

(h) Other than temporary impairments on loan-backed and structured securities

For the years ended December 31, 2014 and 2013, the Company recognized the following OTTI losses on loan-backed and structured securities:

	For the year ended	
	December 31, 2014	December 31, 2013
Amortized cost before OTTI	$ 342	2,027
Recognized interest related OTTI losses	44	671
Amortized cost after OTTI (equals fair value)	$ 298	$ 1,356

For the years ended December 31, 2014 and 2013, the Company recognized intent to sell impairment losses of $44 and $671 in net income, respectively.

For the year ended December 31, 2014, the Company recognized no OTTI on loan-backed and structured securities where the present value of cash flows expected to be collected are less than the amortized cost basis of the securities. For the years ended December 31, 2013, the Company recognized OTTI on one loan-backed/structured security resulting in an OTTI loss of $100 as the present value of cash flows expected to be collected were less than the amortized cost basis of the security.

(i) Bonds on deposit

Bonds on deposit with state insurance departments to satisfy regulatory requirements had a fair value of $10,787 and $10,469 and a carrying amount of $9,540 and $9,604 at December 31, 2014 and 2013, respectively. At December 31, 2013, the Company also had bonds on deposit in a trust account for the benefit of a ceding insurer from which the Company assumes life and accident and health business. This trust agreement was terminated during 2014 and the funds returned to the Company. The assets in the trust account had a fair value of $2,151 and a carrying amount $1,988, at December 31, 2013.

(j) Concentration of credit risk

	Carrying Value	Fair Value	Unrealized Gain (Loss)	OTTI	Percent of Cash & Invested Assets
At December 31, 2014					
Securities exposed to subprime mortgage risk	$ 434,789	$ 457,275	$ 22,486	$ 44	2.4%
Securities exposed to risk from monoline insurers	$ 99,180	$ 113,824	$ 14,644	$ -	0.6%
Securities not exposed to subprime mortgage risk:					
RMBS securities	$ 1,335,892	$ 1,403,184	$ 67,292	$ -	7.4%
CMBS securities	531,719	551,482	19,763	-	3.0%
Total RMBS & CMBS not exposed to subprime mortgage risk	$ 1,867,611	$ 1,954,666	$ 87,055	$ -	10.4%
Hybrid bonds and preferred stocks issued by financial service companies	$ 1,491,484	$ 1,514,234	$ 22,750	$ -	8.3%
Non-investment grade bonds	$ 1,046,102	$ 1,033,633	$ (12,469)	$ (3,266)	5.8%

	Carrying Value	Fair Value	Unrealized Gain (Loss)	OTTI	Percent of Cash & Invested
At December 31, 2013					
Securities exposed to subprime mortgage risk	$ 317,739	$ 325,141	$ 7,402	$ 770	1.9%
Securities exposed to risk from monoline insurers	$ 128,713	$ 129,854	$ 1,141	$ -	0.8%
Securities not exposed to subprime mortgage risk:					
RMBS securities	$ 1,088,145	$ 1,156,286	$ 68,141	$ -	6.6%
CMBS securities	289,635	312,852	23,217	-	1.8%
Total RMBS & CMBS not exposed to subprime mortgage risk	$ 1,377,780	$ 1,469,138	$ 91,358	$ -	8.4%
Hybrid bonds and preferred stocks issued by financial service companies	$ 484,306	$ 470,225	$ (14,081)	$ -	2.9%
Non-investment grade bonds	$ 1,010,963	$ 1,014,713	$ 3,750	$ 4,343	6.1%

Securities exposed to subprime mortgage risk:

The Company holds investments exposed to subprime mortgage risk through exposure to subprime RMBS securities. These subprime RMBS securities include non-investment grade securities and securities guaranteed by monoline insurers. The Company did not have any direct exposure to subprime mortgage loans during 2014 and 2013.

The Company defines exposure to subprime mortgage risk using market accepted guidelines on FICO scores and documentation. The evaluation of securities includes reviewing the quality of the servicer, pool specific statistics,

the position of the security within the trust holding the mortgages and the credit enhancement available to protect the principal value of the security being evaluated. Risk exposure associated with subprime market fluctuation and cash flow deterioration is managed by actively monitoring these securities.

Securities exposed to risk from monoline insurer:

The Company holds investments exposed to risk from monoline insurers. The Company's exposure to risk from monoline insurers includes RMBS securities and non-investment grade securities.

RMBS and CMBS securities not exposed to subprime mortgage risk:

The Company holds investments in RMBS and CMBS securities that are not exposed to subprime mortgage risk. These RMBS and CMBS securities include non-investment grade securities and securities guaranteed by monoline insurers.

Hybrid bonds and preferred stocks issued by financial service companies:

The Company also holds investments in hybrid bonds and preferred stocks issued by financial service companies. These hybrid bonds and preferred stocks include non-investment grade securities.

Non-investment grade bonds:

The Company holds non-investment grade bonds which are widely diversified and include RMBS securities and hybrid bonds issued by financial service companies. Non-investment grade bonds did not have securities with an exposure to monoline insurers at December 31, 2014 and 2013.

(k) Mortgage loans

In September 2013, the Company initiated a commercial loan program utilizing a third party commercial mortgage loan ("CML") asset manager, Principal Real Estate Investors. Subsequently in October 2014, the Company expanded the program with the addition of CorAmerica, a subsidiary of Harbinger Group, as an additional CML asset manager. CMLs represented approximately 1.2% and 0.7% of the Company's total investments with a carrying value of $206,848 and $104,166 as of December 31, 2014 and 2013, respectively. The Company primarily makes mortgage loans on income producing properties including hotels, industrial properties, retail buildings, multifamily properties and office buildings. The company diversifies its CML portfolio by geographic region and property type to reduce concentration risk. Subsequent to origination the Company continuously evaluates CMLs based on relevant current information to ensure properties are performing at a consistent and acceptable level to secure the related debt. As these loans were originated in the past fifteen months, none are past due or have material credit issues and given that there have not been material changes in market interest since origination the Company views amortized cost as representative of fair value. Interest rates on these CMLs range from 1.93% to 4.65%. The maximum percentage of any one loan to the value of security at the time of the loan was 75%. The CML asset managers monitor the status of the payment obligations, the credit quality of the borrower, the condition of the property, and any other events that may impact the performance and principal repayment of the CMLs. Additionally, the Company periodically reviews the asset managers' valuation methodologies and investment processes to insure the program is performing in line with the objectives of the program. A CML's current standing and payment obligations are material factors in evaluating the CML's

carrying value and related fair value. At December 31, 2014, all CMLs are current with no payments past due and there are no credit or other events which would require impairment evaluation.

(l) Derivative instruments

Information regarding the Company's call options and futures derivative instruments is presented in the following table:

	Carry Amount	Fair Value	Measurement (Notional/ Contract)	Amount	Potential Exposure	Maximum Exposure to any Individual Counterparty	Collateral Held (Provided)
Call options owed at:							
December 31, 2014	$ 126,131	$ 303,869	notional	$ 8,031,036	$ 88,832	$ 27,266	$ 215,038
December 31, 2013	$ 97,189	$ 290,289	notional	$ 6,499,070	$ 170,447	$ 103,086	$ 119,842
Futures contracts outstanding at:							
December 31, 2014	$ 4,743	$ 4,743	contract	1,627	$ 8,174	$ 7,818	$ (7,431)
December 31, 2013	$ 3,529	$ 3,529	contract	1,190	$ 5,318	$ 5,187	$ (4,835)

At December 31, 2014 and December 31, 2013, counterparties posted $215,038 and $119,842 of collateral of which $174,715 and $74,739 is included in the statutory statement of admitted assets under "Cash and short-term investments" with an associated payable for this collateral included in the statutory statement of liabilities under "Options collateral payable". The remaining $40,323 and $45,103 of non-cash collateral was held by a third-party custodian at December 31, 2014 and December 31, 2013, respectively. The Company also had 1,627 and 1,190 open futures contracts with a potential exposure of $8,174 and $5,318 at December 31, 2014 and December 31, 2013, respectively.

Effective January 1, 2013, the carrying amount for equity call options which economically hedge the Company's FIA products is amortized cost as described in note 1(b). The carrying amount for equity call options which economically hedge the Company's EIUL products and, prior to January 1, 2013, the FIA products is fair value.

The Company participates in loans to third parties originated by Salus Capital Partners LLC ("Salus"), an affiliated, indirectly owned by HRG that provides asset-based financing. Four of the participating loans are denominated in Canadian dollars ("CAD") which is different from the Company's functional currency. As part of an investment management agreement between Salus and the Company, Salus is required to provide downside protection to any foreign exchange losses for one of the participating loans in which the Company has a participation interest. The Company's ability to recover the foreign exchange losses under this loan participation is such that the Company has a standalone foreign exchange swap derivative equal to the Company's cumulative net foreign exchange loss on this loan participation. The value of the derivative is reflected in "Derivatives" as of the balance sheet date with changes in fair value reflected in the Company's Capital and Surplus. The value of the derivative at each balance sheet date is equal to the cumulative net foreign exchange loss recognized on this loan participation at the balance sheet date. The Company had realized losses of $385 and 0 for the years ended December 31, 2014 and 2013, respectively.

(m) Investments in excess of 10% of capital and surplus

Investments, aggregated by issuer, in excess of 10% of capital and surplus, other than investments in affiliates and investments issued or guaranteed by the United States government or its agencies, are as follows:

	Carrying Amount	NAIC Designation
At December 31, 2014		
Wells Fargo Corporation	$ 173,155	1,2
JP Morgan Chase	146,909	1,2
Goldman Sachs Group Incorporated	134,962	1,2

	Carrying Amount	NAIC Designation
At December 31, 2013		
Wells Fargo Corporation	$ 149,582	1 & 2
JP Morgan Chase	127,341	1
Prudential Holdings LLC	123,268	1 & 2
Goldman Sachs Capital I	123,030	1 & 2
Citigroup Incorporated	116,509	1 & 2
Bank of America Corporation	111,490	1, 2 & 3

NOTE 3: SUBSIDIARIES

Statutory financial information of the Company's insurance subsidiaries, FGLICNY and Raven Re, are summarized as follows:

At or for the years ended December 31,	2014	2013
Summary Balance Sheet and Income Statement		
Total admitted assets:		
FGLICNY	$ 522,109	$ 504,260
Raven Re	337,952	387,315
Total capital and surplus:		
FGLICNY	61,233	61,875
Raven Re	187,252	181,620
Net income:		
FGLICNY	1,903	1,273
Raven Re	30,893	39,023

The Company owns 100% of the outstanding common stock of all its subsidiaries. The operations and net worth of the Company's non-insurance subsidiaries are not material.

NOTE 4: TRANSACTIONS WITH AFFILIATES

The Company periodically reimburses Fidelity & Guaranty Life Business Services, Inc. ("FGLBS"), an affiliate, for costs incurred on its behalf subject to an expense sharing agreement that has been approved by the MIA and grandfathered by the IID. These costs include routine operating expenses incurred in the normal conduct of business such as shared home office facilities, information technology, finance, legal, actuarial, human resources services and general overhead costs, including salaries and benefits. These costs are generally determined on the basis of use by the Company and are included in expenses as incurred. In 2014 and 2013, amounts incurred by the Company were $76,651 and $67,071, respectively, and include $15,380 and $10,879, respectively, of share-based compensation expense related to the participation of FGLBS's employees in stock-based incentive plans sponsored by FGLH and FGL. The Company does not have any employees and is not directly liable for obligations under the FGLH and FGL stock-based incentive plans.

The Company has guaranteed the performance of obligations under non-cancelable office space lease agreements on behalf of FGLBS, which will expire in May 2021. At December 31, 2014 FGLBS was current on all of its obligations under the lease agreements. The Company shares these facilities with other affiliates and reimburses FGLBS for its use of these facilities. During the years ended December 31, 2014 and 2013, rent expense allocated to the Company by FGLBS for its shared facilities was $1,928 and $1,628, respectively.

As of January 1, 2015, the minimum aggregate rental commitments under the guaranteed lease agreements are as follows:

2015	$ 1,477
2016	1,548
2017	1,517
2018	1,528
2019	1,570
Thereafter	2,624
Total	$ 10,264

The Company participates in loans originated by Salus Capital Partners LLC ("Salus"), an affiliated company indirectly owned by HRG that provides senior secured financing. Salus originates senior secured asset-based loans to unaffiliated third-party borrowers. In addition to the participation in loans originated by Salus, the Company also agreed to provide Salus with financing in the form of a revolving loan and promissory note. The Company also has investments in Salus Collateralized Loan Obligations ("CLO") class notes and in Salus CLO's subordinated notes. During 2014, the Company acquired preferred equity interests in Salus which have a 10.0% per annum return and a total statement value of $33,334.

During 2013, the Company acquired $70,000 of unsecured senior notes from HGI Energy Holdings, LLC, a wholly owned subsidiary of HRG, which are included in "Bonds" in the statement of admitted assets, liabilities, and capital and surplus.

At December 31, 2014, the Company holds CLOs and debt securities issued by subsidiaries of Fortress Investment Group LLC, which has acquired interests greater than 10% ownership in HRG as of December 31, 2014.

The carrying value of these affiliated investments as of December 31, 2014 and 2013 are disclosed in the table below:

		Statement Value for the year ended	
Type	Balance Sheet Classification	2014	2013
Salus promissory note	Bonds	$ 20,000	$ 20,000
Salus collaterilized loan obligations	Bonds	220,059	220,068
Salus revolving loan	Bonds	2,500	-
HGI energy loan	Bonds	70,000	70,000
Fortress Investment Group collateralized loan obligations	Bonds	202,871	-
Salus subordinated notes	Other affiliated long term invested assets	19,500	19,500
Salus preferred equity	Other affiliated long term invested assets	33,334	-

Amounts due from and due to the parent and/or affiliates resulting from affiliate transactions, other than reinsurance transactions and federal income tax sharing transactions, are classified as receivable from or payable to affiliates in the Statements of Admitted Assets, Liabilities, and Capital and Surplus.

On March 31, 2013, the Company made a capital contribution in the form of mortgage loans to FGLICNY in the amount of $17,856.

See note 8 for further discussion of reinsurance transactions with affiliated entities, note 9 for dividend payments, and note 10 for surplus note transactions with FGLH.

NOTE 5: FEDERAL INCOME TAXES

(a) Intercompany income tax balances

The Company had an income tax payable balance at December 31, 2014 of $1,964 to FGLICNY and an income tax receivable balance of $2,498 due from Raven Re and an income tax receivable balance at December 31, 2013 of $494 and $16,239 due from FGLICNY and Raven Re, respectively. Of the $16,239 income tax receivable from Raven Re at December 31, 2013, $10,094 relates to taxes on adoption of Iowa's prescribed practice as discussed in note 1(b) which was reflected in Raven's surplus.

(b) Permanent and temporary differences

The Company's income tax incurred and change in deferred income tax differ from the amount obtained by applying the federal statutory rate of 35% to the net gain before income tax as follows:

For the years ended December 31,	2014	2013
Net gain from operations before income taxes	$ 107,731	$ 79,112
Net realized capital gain	173,542	226,961
	281,273	306,073
Income tax incurred at 35% statutory rate	98,446	107,125
Increase (decrease) resulting from:		
Dividends received deduction	(494)	-
Nondeductible expenses for meals, penalties, and lobbying	126	105
IMR amortization	(44,801)	(64,433)
Change in accounting method	-	(21,613)
Amortization of deferred gains	(10,375)	(20,732)
Unrealized gain/loss on futures	-	(4,536)
Transfer pricing adjustments	(1,909)	(1,686)
Prior year adjustment	45	33
Change in statutory valuation allowance adjustment	(50,968)	(13,063)
Other	(438)	(803)
Total income tax incurred	$ (10,368)	$ (19,603)
Current income tax (benefit) incurred *	$ 20,097	$ (16,040)
Change in deferred income tax	(30,465)	(3,563)
Total income tax incurred	$ (10,368)	$ (19,603)

* Includes capital gains taxes capitalized into IMR of $21,265 and $29,210 at December 31, 2014 and 2013, respectively.

	2014	2013	Change
Adjusted gross deferred tax assets	$ 216,344	$ 189,967	$ 26,377
Total deferred tax liabilities	(28,956)	(39,568)	10,612
Net deferred tax assets	$ 187,388	$ 150,399	$ 36,989
Tax effect of unrealized and non-admitted			(6,524)
Change in net deferred income tax			$ 30,465

	2013	2012	Change
Adjusted gross deferred tax assets	$ 189,967	$ 182,567	$ 7,400
Total deferred tax liabilities	(39,568)	(31,582)	(7,986)
Net deferred tax assets	$ 150,399	$ 150,985	$ (586)
Tax effect of unrealized and non-admitted			4,149
Change in net deferred income tax			$ 3,563

(c) Deferred income taxes

The December 31, 2014 and 2013 balances and related disclosures are calculated and presented as provided pursuant to SSAP No. 101.

The tax effects of significant temporary differences giving rise to deferred tax assets (or "DTA") and liabilities as of December 31, 2014 and 2013 are as follows:

	December 31, 2014		
	Ordinary	Capital	Total
Deferred tax assets:			
Property and equipment	$ 2,485	$ -	$ 2,485
Accrued expenses	8,416	-	8,416
Investment basis differences	-	1,919	1,919
Policyholder reserves	27,625	-	27,625
Deferred policyholder acquisition expenses	69,094	-	69,094
Receivable from agents	2,535	-	2,535
Tax credits	60,582	-	60,582
Capital loss carryforward	-	87,506	87,506
Options used for hedging	25,553	-	25,553
Other	9,047	-	9,047
Total gross DTA	205,337	89,425	294,762
Statutory valuation allowance	-	(78,418)	(78,418)
Nonadmitted DTA	(106,439)	-	(106,439)
Admitted DTA	98,898	11,007	109,905
Deferred tax liabilities:			
Investment basis differences	16,091	-	16,091
Other	12,865	-	12,865
Total deferred tax liabilities	28,956	-	28,956
Net admitted DTA	$ 69,942	$ 11,007	$ 80,949

	December 31, 2013		
	Ordinary	Capital	Total
Deferred tax assets:			
Property and equipment	$ 2,420	$ -	$ 2,420
Accrued expenses	6,893	-	6,893
Investment basis differences	-	14,605	14,605
Policyholder reserves	27,760	-	27,760
Deferred policyholder acquisition expenses	65,605	-	65,605
Receivable from agents	2,884	-	2,884
Tax credits	60,578	-	60,578
Capital loss carryforward	-	114,781	114,781
Options used for hedging	20,629		20,629
Other	3,198	-	3,198
Total gross DTA	189,967	129,386	319,353
Statutory valuation allowance	-	(129,386)	(129,386)
Nonadmitted DTA	(78,109)	-	(78,109)
Admitted DTA	111,858	-	111,858
Deferred tax liabilities:			
Investment basis differences	22,801	-	22,801
Guaranty funds receivable	945	-	945
Other	15,821	-	15,821
Total deferred tax liabilities	39,567	-	39,567
Net admitted DTA	$ 72,291	$ -	$ 72,291

1. The components of the net deferred tax asset/(liability) are as follows:

	2014		
	Ordinary	Capital	Total
Gross DTA	$ 205,337	$ 89,425	$ 294,762
Statutory valuation allowance	-	(78,418)	(78,418)
Adjusted gross DTA	205,337	11,007	216,344
Deferred tax liabilities	(28,956)	-	(28,956)
Net DTA	176,381	11,007	187,388
DTA nonadmitted	(106,439)	-	(106,439)
Net admitted DTA	$ 69,942	$ 11,007	$ 80,949

	2013		
	Ordinary	Capital	Total
Gross DTA	$ 189,967	$ 129,386	$ 319,353
Statutory valuation allowance	-	(129,386)	(129,386)
Adjusted gross DTA	189,967	-	189,967
Deferred tax liabilities	(39,567)	-	(39,567)
Net DTA	150,400	-	150,400
DTA nonadmitted	(78,109)	-	(78,109)
Net admitted DTA	$ 72,291	$ -	$ 72,291

	Change		
	Ordinary	Capital	Total
Gross DTA	$ 15,370	$ (39,961)	$ (24,591)
Statutory valuation allowance	-	50,968	50,968
Adjusted gross DTA	15,370	11,007	26,377
Deferred tax liabilities	10,611	-	10,611
Net DTA	25,981	11,007	36,988
DTA nonadmitted	(28,330)	-	(28,330)
Net admitted DTA	$ (2,349)	$ 11,007	$ 8,658

For the year ended December 31, 2013, the change in net deferred tax assets above excludes $24,742 related to the adoption of the Iowa prescribed accounting practice as described in note 1(b), which was reflected in surplus.

The Company maintains a valuation allowance against certain Section 382 limited capital loss carryforwards and impaired investment security deferred tax assets. The Company believes that it is more likely than not that these deferred tax assets will not be realized. The valuation allowance adjustment to gross deferred tax assets at December 31, 2014 was $78,418, which was a reduction of $50,968 from the deferred tax assets previously deemed more likely than not unrealizable to be realized. As of December 31, 2014, the Company believes it is more likely than not that all other deferred tax assets are realizable.

2. SSAP No. 101 admission calculation components:

		2014		
		Ordinary	Capital	Total
Admission Calculation Components SSAP No. 101				
(a)	Federal Income Taxes Paid in Prior Years Recoverable Through Loss Carrybacks	$ 61,391	$ -	$ 61,391
(b)	Adjusted Gross Deferred Tax Assets Expected to be Realized (Excluding the Amount of Deferred Tax Assets from 2(a) above) After Application of the Threshold Limitation (The Lesser of 2(b)1 and 2(b)2 Below)	8,551	11,007	19,558
1	Adjusted Gross Deferred Tax Assets Expected to be Realized Following the Balance Sheet Date	8,551	11,007	19,558
2	Adjusted Gross Deferred Tax Assets Allowed Per Limitation Threshold	XXX	XXX	169,597
(c)	Adjusted Gross Deferred Tax Assets (Excluding the amount of Deferred Tax Assets from 2(a) and 2(b) above) offset by Gross Deferred Tax Liabilities	28,956	-	28,956
(d)	Deferred Tax Assets Admitted as the result of application of SSAP No. 101 Total (2(a)+2(b)+2(c))	$ 98,898	$ 11,007	$ 109,905

		2013		
		Ordinary	Capital	Total
Admission Calculation Components SSAP No. 101				
(a)	Federal Income Taxes Paid in Prior Years Recoverable Through Loss Carrybacks	$ 28,108	$ -	$ 28,108
(b)	Adjusted Gross Deferred Tax Assets Expected to be Realized (Excluding the Amount of Deferred Tax Assets from 2(a) above) After Application of the Threshold Limitation (The Lesser of 2(b)1 and 2(b)2 Below)	44,182	-	44,182
1	Adjusted Gross Deferred Tax Assets Expected to be Realized Following the Balance Sheet Date	44,182	-	44,182
2	Adjusted Gross Deferred Tax Assets Allowed Per Limitation Threshold	XXX	XXX	155,395
(c)	Adjusted Gross Deferred Tax Assets (Excluding the amount of Deferred Tax Assets from 2(a) and 2(b) above) offset by Gross Deferred Tax Liabilities	39,568	-	39,568
(d)	Deferred Tax Assets Admitted as the result of application of SSAP No. 101 Total (2(a)+2(b)+2(c))	$ 111,858	$ -	$ 111,858

	Change		
	Ordinary	Capital	Total
Admission Calculation Components SSAP No. 101			
(a) Federal Income Taxes Paid in Prior Years Recoverable Through Loss Carrybacks	$ 33,283	$ -	$ 33,283
(b) Adjusted Gross Deferred Tax Assets Expected to be Realized (Excluding the Amount of Deferred Tax Assets from 2(a) above) After Application of the Threshold Limitation (The Lesser of 2(b)1 and 2(b)2 Below)	(35,631)	11,007	(24,624)
1 Adjusted Gross Deferred Tax Assets Expected to be Realized Following the Balance Sheet Date	(35,631)	11,007	(24,624)
2 Adjusted Gross Deferred Tax Assets Allowed Per Limitation Threshold	XXX	XXX	14,202
(c) Adjusted Gross Deferred Tax Assets (Excluding the amount of Deferred Tax Assets from 2(a) and 2(b) above) offset by Gross Deferred Tax Liabilities	(10,612)	-	(10,612)
(d) Deferred Tax Assets Admitted as the result of application of SSAP No. 101 Total (2(a)+2(b)+2(c))	$ (12,960)	$ 11,007	$ (1,953)

	2014	2013
(a) Ratio Percentage Used To Determine Recovery Period And Threshold Limitation Amount - Ex DTA ACL RBC	729%	795%
(b) Amount of Adjusted Capital and Surplus Used To Determine Recovery Period And The Threshold Limitation in 2(b)2 Above.	$ 1,251,404	$ 1,120,398

	2014		
Impact of Tax-Planning Strategies	Ordinary %	Capital %	Total %
(a) Adjusted Gross DTA	-	11,007	11,007
% of Total Adjusted Gross DTA	0.000%	5.088%	5.088%
(b) Net Admitted Adjusted Gross DTA	-	11,007	11,007
% of Total Net Admitted Adjusted Gross DTAs	0.000%	10.015%	10.015%
(c) Does the Company's tax-planning strategies include the use of reinsurance?		No	

	2013		
Impact of Tax-Planning Strategies	Ordinary %	Capital %	Total %
(a) Adjusted Gross DTA	-	-	-
% of Total Adjusted Gross DTA	0.000%	0.000%	0.000%
(b) Net Admitted Adjusted Gross DTA	-	-	-
% of Total Net Admitted Adjusted Gross DTAs	0.000%	0.000%	0.000%
(c) Does the Company's tax-planning strategies include the use of reinsurance?		No	

Impact of Tax-Planning Strategies	Change		
	Ordinary %	Capital %	Total %
(a) Adjusted Gross DTA	-	11,007	11,007
% of Total Adjusted Gross DTA	0.000%	5.088%	5.088%
(b) Net Admitted Adjusted Gross DTA	-	11,007	11,007
% of Total Net Admitted Adjusted Gross DTAs	0.000%	10.015%	10.015%

There are no significant temporary differences for which deferred tax liabilities are not recognized.

(d) Current income taxes incurred consist of the following major components:

For the years ended December 31,	2014	2013
Current year operating tax (benefit) expense	$ (949)	$ (43,635)
Current year capital gains tax expense	21,265	29,210
Tax return true up and tax on amended returns	(220)	(1,615)
Current income taxes incurred	$ 20,096	$ (16,040)

For the year ended December 31, 2013, the current federal income tax above excludes the tax expense of $17,844 related to the adoption of the Iowa prescribed accounting practice as described in note 1(b) , which was reflected in surplus.

(e) Net operating losses and other carryforwards

The Company files a consolidated federal income tax return with its subsidiaries, FGLICNY and Raven Re. As of December 31, 2014, the life companies do not have any consolidated operating loss carryforwards available to offset future year income. The life companies have $250,798 in capital loss carryforwards as of December 31, 2014 which will expire in 2015 if unused. In addition, the life companies have $54,272 of Low-Income Housing Tax Credits available to be carried forward and applied against future year tax liabilities. If unused, the credits will expire in the years 2020 through 2034. The life companies also have $6,310 of Alternative Minimum Tax Credits generated from tax years 2004 through 2009, which will not expire. On a stand-alone basis, all of the tax credits described above belong to the Company. Of the capital loss carryforwards, $250,017 belong to the Company and will expire in the year 2015 if unused.

The Life group incurred $61,391 of federal income taxes in the current year that are available for recoupment in the event of future net losses.

The Company did not have any deposits reported as admitted assets under Section 6603 of the Internal Revenue Service (IRS) Code as of December 31, 2014.

NOTE 6: FAIR VALUE OF FINANCIAL INSTRUMENTS

Certain financial instruments are carried at fair value in the Statement of Admitted Assets, Liabilities, and Capital and Surplus. Other financial instruments are periodically measured at fair value, such as when impaired or for certain bonds and preferred stocks when carried at the lower of cost or market.

While certain financial instruments and all nonfinancial instruments, including many insurance-related liabilities are not carried at fair value, it is the Company's asset/liability matching strategy to take into consideration the future cash requirements of its insurance-related liabilities.

The Company's measurement of fair value is based on assumptions used by market participants in pricing the asset or liability, which may include inherent risk, restrictions on the sale or use of an asset or non-performance risk, which may include the Company's own credit risk. The Company's estimate of an exchange price is the price in an orderly transaction between market participants to sell the asset or transfer the liability ("exit price") in the principal market, or the most advantageous market in the absence of a principal market, for that asset or liability, as opposed to the price that would be paid to acquire the asset or receive a liability ("entry price"). The Company may rely upon a pricing model or valuation technique to determine fair value. Inputs to the pricing model or valuation technique may be observable or unobservable. Observable inputs are inputs that reflect the assumptions market participants would use in pricing the asset or liability developed based on market data obtained from independent sources. Unobservable inputs are inputs that reflect the Company's own assumptions about the assumptions market participants would use in pricing the asset or liability developed based on the best information available in the circumstances. Valuation techniques used by the Company to measure fair value maximize the use of observable inputs and minimize the use of unobservable inputs.

Cash and short term investments: The carrying amounts reported approximate their fair values.

Bonds and preferred stocks: Fair values for bonds and preferred stocks are based on valuations obtained from an independent pricing service or broker quotes. The independent pricing service's valuations are based on market data and utilize pricing models that vary by asset class and incorporate available trade, bid and other market information and, for structured securities, cash flow and loan performance data when available. The primary inputs are observable and include benchmark yields, reported trades, broker/dealer quotes, issuer spread, two-sided markets, benchmark securities, bids, offers and reference data including market research publications. The independent pricing service also evaluates new issue data, monthly payment information and collateral performance. The independent pricing service uses spreads and other information solicited from Wall Street buy and sell side sources, including primary and secondary dealers, portfolio managers and research analysts. The Company uses the valuations provided by the independent pricing service as the estimated fair value of the security when available. If the independent pricing service is not able to provide a valuation, the Company obtains a broker quote and uses the broker quote as an estimate of fair value.

Common stocks - unaffiliated: The Company's investment in unaffiliated common stocks is comprised of FHLB common stock, mutual funds and an investment in an industrial stock. Based upon the level of transactions with the FHLB, the Company is required to maintain FHLB stock. The fair value of the FHLB common stock is set equal to its cost, which represents the price at which the FHLB will repurchase the stock. The mutual funds in which the Company invests are actively-traded institutional and retail mutual fund investments. The fair value for the mutual fund investments is based on the values provided by the respective mutual fund companies and represents the value the Company would have received if it withdrew its investment on the balance sheet date.

The fair value of the investment in industrial stock is based on a valuation obtained from an independent pricing service.

Mortgage loans and policy loans: Fair values for policy loans are estimated using discounted cash flow analysis, using interest rates currently being offered for loans with similar credit risk. Loans with similar characteristics are aggregated for purposes of the calculations. The carrying value for mortgage loans approximates the fair value.

Derivative instruments: The fair value of derivative assets is based upon valuation pricing models and represents what the Company would expect to receive or pay at the balance sheet date if the Company cancelled the options, entered into offsetting positions, or exercised the options. The fair value of futures contracts at the balance sheet date represents the cumulative unsettled variation margin (open trade equity net of cash settlements). Fair values for these instruments are determined externally by an independent actuarial firm using market observable inputs, including interest rates, yield curve volatilities and other factors.

Surplus debentures: The fair values of surplus debentures are based on valuations obtained from independent pricing services or broker quotes.

Affiliated subordinated notes: The fair value of affiliated subordinated notes is based on valuations obtained from independent pricing services.

Separate account invested assets: FHLB separate account invested assets are comprised of bonds and short-term investments and cash. The fair value of the bonds held in the FHLB separate account are based on valuations obtained from an independent pricing service or broker quotes using the same methods and inputs described above for “bonds and preferred stocks”. The carrying amounts for cash and short-term investments approximate their fair values.

Other assets and other liabilities: Other assets and liabilities considered financial instruments are generally of a short-term nature, and it is assumed the carrying value approximates fair value.

Deposit-type contracts: Fair values for the Company's liabilities under deposit-type contracts are estimated using discounted cash flow calculations based on interest rates currently being offered for like contracts with similar maturities.

The aggregate fair values and admitted asset carrying amounts at December 31, 2014 and 2013 for financial instruments are as follows:

	For the year ended December 31, 2014				
Type of Financial Instruments	Aggregate Fair Value	Admitted Asset	(Level 1)	(Level 2)	(Level 3)
Assets:					
U.S. Government	$ 338,824	$ 337,385	$ 338,582	$ 242	$ -
Foreign government	102,723	99,264	-	102,723	-
States & political subdivisions	359,955	325,469	-	359,955	-
Special revenue & special assessment	1,022,955	914,331	-	984,103	38,852
Industrial and miscellaneous	12,850,246	12,399,077	10,034	11,546,901	1,293,311
Hybrid bonds	1,333,483	1,310,392	-	1,333,483	-
Affiliated bonds	515,050	515,430	-	404,550	110,500
Total Bonds	$ 16,523,236	$ 15,901,348	$ 348,616	$ 14,731,957	$ 1,442,663
Common stocks - unaffiliated	43,835	43,835	5,640	38,195	-
Preferred stocks	634,843	618,744	-	628,843	6,000
Mortgage loans	206,848	206,848	-	-	206,848
Derivative instruments	304,254	126,516	-	304,254	-
Surplus debentures	430,252	370,412	-	430,252	-
Other affiliated long term invested assets	50,435	52,834	-	-	50,435
Investment in limited partnerships	2,689	2,689	-	-	2,689
Policy loans	9,704	9,302	-	-	9,704
Separate account invested assets:					
FHLB	566,090	544,366	-	566,090	-
Liabilities:					
Deposit-type contracts-general account:					
Payout annuities without life contingency	$ 583,546	$ 536,342	$ -	$ 583,546	$ -
Dividend accumulations	5,075	5,075	-	5,075	-
Total general account deposit-type contracts	$ 588,621	$ 541,417	$ -	$ 588,621	$ -
Deposit-type contracts-separate account:					
FHLB	$ 519,344	$ 477,159	$ -	$ 519,344	$ -
Futures (Due To Futures Brokers)	$ 1,895	$ 1,895	$ -	$ 1,895	$ -

	For the year ended December 31, 2013				
Type of Financial Instruments	Aggregate Fair Value	Admitted Asset	(Level 1)	(Level 2)	(Level 3)
Assets:					
U.S. Government	$ 200,826	$ 200,951	$ 200,336	$ 490	$ -
Foreign government	44,807	44,519	-	44,807	-
States & political subdivisions	325,830	327,652	-	325,830	-
Special revenue & special assessment	831,362	827,679	-	796,988	34,374
Industrial and miscellaneous	13,048,984	12,831,367	-	12,222,350	826,634
Hybrid	420,137	420,166	-	420,137	-
Affiliated	311,659	310,068	-	-	311,659
Total Bonds	$ 15,183,605	$ 14,962,402	$ 200,336	$ 13,810,602	$ 1,172,667
Common stocks - unaffiliated	48,573	48,573	4,268	44,305	-
Preferred stocks	203,387	217,171	-	203,387	-
Mortgage loans	104,166	104,166	-	-	104,166
Derivative instruments	290,289	97,189	-	290,289	-
Surplus debentures	109,608	101,409	-	109,608	-
Investment in limited partnerships	728	728	-	-	728
Other affiliated long term invested assets	19,360	19,500	-	-	19,360
Other invested assets	437	437	-	437	-
Policy loans	9,497	9,103	-	-	9,497
Separate account invested assets:					
FHLB	591,783	571,605	-	591,783	-
Liabilities:					
Deposit-type contracts-general account:					
Payout annuities without life contingency	$ 691,446	$ 628,174	$ -	$ 691,446	$ -
Dividend accumulations	5,208	5,208	-	5,208	-
Total general account deposit-type contracts	$ 696,654	$ 633,382	$ -	$ 696,654	$ -
Deposit-type contracts-separate account:					
FHLB	$ 545,066	$ 493,417	$ -	$ 545,066	$ -

The Company classifies its assets carried at fair value into three broad levels as follows:

Level 1 - Values are unadjusted quoted prices for identical assets and liabilities in active markets accessible at the measurement date;

Level 2 – Inputs include quoted prices for similar assets or liabilities in active markets, quoted prices from those willing to trade in markets that are not active, or other inputs that are observable or can be corroborated by market data for the term of the instrument. Such inputs include market interest rates and volatilities, spreads and yield curves; and

Level 3 – Certain inputs are unobservable (supported by little or no market activity) and significant to the fair value measurement. Unobservable inputs reflect the Company's best estimate of what hypothetical market participants would use to determine a transaction price for the asset or liability at the reporting date based on the best information available in the circumstances.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an investment's level within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement. The Company's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the investment.

When a determination is made to classify an asset or liability within Level 3 of the fair value hierarchy, the determination is based upon the significance of the unobservable inputs to the overall fair value measurement. Because certain securities trade in less liquid or illiquid markets with limited or no pricing information, the determination of fair value for these securities is inherently more difficult. However, Level 3 fair value investments may include, in addition to the unobservable or Level 3 inputs, observable components, which are components that are actively quoted or can be validated to market-based sources.

There are no financial instruments for which it was not practical to determine a fair value level for 2014 and 2013 (see below for level determination).

Additional data with respect to fair values of the Company's investments is disclosed in note 2.

The following table provides information as of December 31, 2014 and 2013 about the Company's financial assets measured and carried at fair value. No fair value measurements were determined using significant unobservable inputs (Level 3).

	Level 1	Level 2	Level 3	Total
At December 31, 2014:				
Common stocks - unaffiliated	$ 5,640	$ 38,195	$ -	$ 43,835
Derivative instruments - EIUL equity options	-	38,180	-	38,180
Other invested assets	-	-	-	-
Total assets at fair value	$ 5,640	$ 76,375	$ -	$ 82,015
Futures (Due To Futures Brokers)	-	1,895	-	1,895
Total liabilities at fair value	$ -	$ 1,895	$ -	$ 1,895
At December 31, 2013:				
Preferred stocks - unaffiliated	$ -	$ 4,300	$ -	$ 4,300
Common stocks - unaffiliated	4,268	44,305	-	48,573
Derivative instruments - EIUL equity options	-	32,249	-	32,249
Other invested assets	-	437	-	437
Total assets at fair value	$ 4,268	$ 81,291	$ -	$ 85,559

Preferred stocks – The fair value of preferred stocks which were carried in the Company's balance sheet at fair value is based upon valuations obtained from an independent pricing service. The valuations are based on pricing models for which the primary inputs are observable and, therefore, the investments were classified as Level 2.
Common stocks - unaffiliated - The Company's investment in mutual funds is classified as Level 1 since the fair value for the mutual fund investments is based on the values provided by the respective mutual fund companies and represents the value the Company would have received if it withdrew its investment on the balance sheet date. The Company's investment in FHLB common stock is classified as Level 2 since the fair value of this stock is set equal to its cost, which represents the price at which the FHLB will repurchase the stock.

Derivative Instruments - The fair value of derivative assets, including future contracts, is based upon valuation pricing models using market observable inputs, including interest rates and yield curve volatilities and the assets are classified as Level 2. Effective January 1, 2013, the carrying amount for equity call options which economically hedge the Company's FIA products is amortized cost as described in note 1(b). The carrying amount for equity call options which economically hedge the Company's EIUL products and, prior to January 1, 2013, the FIA products is fair value.

The Company's policy is to recognize transfers in and transfers out of the fair value hierarchy levels as of the beginning of the year of the event or change in circumstances that caused the transfer. The Company did not have any transfers in and out of fair value hierarchy Level 3 in 2014 and 2013.

NOTE 7: RESERVES

At December 31, 2014 and 2013, the Company's annuity reserves and deposit fund liabilities that are subject to discretionary withdrawal, subject to discretionary withdrawal without adjustment, and not subject to discretionary withdrawal provisions are summarized as follows:

	2014		2013	
	Amount	Percent	Amount	Percent
Subject to discretionary withdrawal with adjustment:				
With fair value adjustment	$ 2,254,057	14.3 %	$ 1,708,984	11.9 %
At book value less current surrender charge of 5% or more	7,680,783	48.8	7,206,594	49.9
Total with adjustment or at fair value	9,934,840	63.1	8,915,578	61.8
Subject to discretionary withdrawal without adjustment:				
At book value with minimal or no charge or adjustment	3,096,394	19.7	2,577,896	17.9
Not subject to discretionary withdrawal	2,705,359	17.2	2,936,871	20.3
Total annuity reserves and deposit fund liabilities before reinsurance	15,736,593	100.0 %	14,430,345	100.0 %
Less reinsurance ceded	1,555,588		1,622,486	
Net annuity reserves and deposit fund liabilities	$ 14,181,005		$ 12,807,859	

In addition, the Company's life, health and miscellaneous reserves totaled $579,063 and $469,005 at December 31, 2014 and 2013, respectively.

Effective January 1, 2013, the Company elected to calculate the reserve liability for its FIA products based on Actuarial Guideline XXXV, assuming the market value of the eligible derivative assets associated with the current interest crediting period is zero, and reflect the interest credit in the reserve when realized based on the actual performance of the relevant external index or indices. See note 1(b) for further details.

NOTE 8: REINSURANCE

The Company reinsures portions of its policy risks with other insurance companies. The use of reinsurance does not discharge an insurer from liability on the insurance ceded. The insurer is required to pay in full the amount of its insurance liability regardless of whether it is entitled to or able to receive payment from the reinsurer. The Company also assumes policy risks from other insurance companies.

The effect of reinsurance on premiums earned and benefits incurred for the years ended December 31, 2014 and 2013 were as follows:

	Premiums Earned		Benefits Incurred	
	2014	2013	2014	2013
Direct	$ 2,942,808	$ 1,709,345	$ 1,942,453	$ 1,954,756
Assumed	35,780	30,280	48,740	41,828
Ceded	443,963	369,273	497,257	484,723
Net	$ 2,534,625	$ 1,370,352	$ 1,493,936	$ 1,511,861

The Company assumes insurance that is in excess of FGLICNY's retention limits. Reinsurance assumed premiums received under these contracts were $423 and $438 in 2014 and 2013, respectively. Related reinsurance assumed benefits incurred in 2014 and 2013 were $806 and $357, respectively. Reinsurance amounts payable to FGLICNY on paid and unpaid losses were $725 and $119 at December 31, 2014 and 2013, respectively. Policy reserves included $380 and $390 of reinsurance assumed at December 31, 2014 and 2013, respectively.

The Company has a significant concentration of reinsurance with Wilton Re that could have a material impact on the Company's financial position. At December 31, 2014 and 2013, the reserves ceded to Wilton Re totaled $1,803,636 and $1,776,341, respectively. The Company monitors both the financial condition of individual reinsurers and risk concentration arising from similar geographic regions, activities and economic characteristics of reinsurers to reduce the risk of default by such reinsurers.

On December 31, 2012 the Company entered into a coinsurance agreement with Front Street (Cayman) Ltd ("FSR"), an affiliate of HRG, under which the Company ceded a 10% quota share of certain in-force annuity business to FSR. The statutory reserves, including deposit-type contract reserves, ceded to FSR as of December 31, 2014 and 2013 were $1,147,259 and $1,242,801, respectively. The annuity business ceded to FSR includes all single premium immediate annuities, including supplementary contracts, deferred annuities and fixed indexed annuities issued June 30, 2012 and prior, excluding funding agreements issued to the FHLB and annuity liabilities assumed by the Company from Ohio National Life Insurance Company. No new business is ceded to FSR under this reinsurance agreement. FSR receives its quota share of any additional premiums received on the reinsured business. FSR also participates in any supplementary contracts issued upon annuitization of any reinsured policies at its quota share. Under the terms of this Reinsurance Agreement, reserves are calculated in accordance with statutory accounting practices prescribed or permitted by the MIA and with sound reserving and actuarial principles. The Iowa Insurance Division grandfathered the FSR Reinsurance Agreement upon re-domestication to Iowa. Therefore, the Company will continue to record the ceded reserve credit under the FSR Reinsurance Agreement in accordance with MIA accounting practices and continue to record the net hedge settlement at fair value, rather than amortized cost. Under the agreement terms, the Company holds bonds and other fixed income securities in a separate custodial account over which the Company retains control and has title to all assets held in this account. As of December 31, 2014 and 2013, cash and invested assets held in the funds withheld account had a statutory statement value of $1,160,013 and $1,260,589.

The Company entered into another coinsurance agreement with FSR Effective September 17, 2014, whereby FGLIC ceded to FSR 30% of any new business of its multi-year guaranteed annuity block of business ("MYGA") issued September 17, 2014 and later. Under the agreement, no initial ceding commission was paid as of all the underlying business is new business. The statutory reserves ceded to FSR under this agreement were $82,539 as of December 31, 2014. FSR is an unauthorized reinsurer in Iowa and, therefore, the FSR Coinsurance Agreement is

on a funds withheld basis and the statutory reserves are fully collateralized by a funds withheld account. Under the agreement terms, the Company holds bonds and other fixed income securities in a separate custodial account over which the Company retains control and has title to all assets held in this account. As of December 31, 2014, cash and invested assets held in the funds withheld account had a statutory statement value of $81,059.

On October 5, 2012, the Company recaptured from Old Mutual Reassurance (Ireland) Ltd. ("OM Re") the yearly renewable term reinsurance agreement under which OM Re assumed a quota share of the risk that policyholders exercise the "waiver of surrender charge" features on certain deferred annuity policies. The recapture transaction was effective October 1, 2012. The Company simultaneously entered into a reinsurance agreement with Raven Re, to re-cede a similar quota share of the "waiver of surrender charge" risk to Raven Re effective October 1, 2012. As a result of this transaction the Company's investment in affiliated common stock for Raven Re reflects the subsidiary's effect of the permitted accounting practice for its LOC as an admitted asset for $245,000 and $270,000 as of December 31, 2014 and 2013, respectively.

On June 17, 2013, the Company rescinded the portion of the coinsurance agreement dated April 1, 2011 between the Company and Wilton Re which covers certain disability income riders. Wilton Re paid the Company a rescission settlement of $6,428. In addition, the Company re-established the $4,489 reserve liability previously ceded to Wilton Re in connection with this business. The Company recognized a net gain on the rescission of $1,940. The Company had no rescissions during 2014.

No policies issued by the Company have been reinsured with a foreign company which is controlled, either directly or indirectly, by a party not primarily engaged in the business of insurance.

The Company has not entered into any reinsurance agreements in which the reinsurer may unilaterally cancel any reinsurance for reasons other than nonpayment of premiums or other similar credits.

The Company did not write off any reinsurance balances during 2014 or 2013.

NOTE 9: DIVIDEND RESTRICTIONS

Dividends on the Company's stock are paid as declared by its Board of Directors. Under the laws of the State of Iowa, any proposed payment of a dividend is classified as an "extraordinary dividend" if it, together with the aggregate fair market value of other dividends or distributions made during the preceding twelve months, exceeds the greater of 10% of capital and surplus as of the preceding December 31 or net gain from operations before realized capital gains or losses for the preceding year. No extraordinary dividends may be paid without prior approval of the IID. In addition, no dividends may be paid except from the earned profits arising from the Company's business, which does not include contributed capital or contributed surplus. There are no other restrictions placed on the portion of the Company's profits that may be paid as ordinary dividends to stockholders. The maximum amount of dividends the Company will be permitted to distribute during 2015 as ordinary dividends is $121,160. The Company paid an ordinary dividend in the amount of $40,000 to its parent company, FGLH during 2013.

NOTE 10: SURPLUS NOTES

On December 31, 2009, the Company issued a surplus note (the "2009 Surplus Note") to its parent, FGLH in the principal amount of $30,000. Principal and interest payments are payable out of the surplus of the Company and require the prior written approval of the IID. Interest accrues on the 2009 Surplus Note at the rate of 6% per

annum, with interest payments made semi-annually subject to the Company having sufficient surplus and obtaining the approval of the IID. The 2009 Surplus Note may be prepaid in whole or in part at any time, plus accrued interest to the date of prepayment, without premium or penalty subject to the Company having sufficient surplus and obtaining the approval of the IID. The unpaid principal balance matures on December 31, 2019. The 2009 Surplus Note will be automatically extended from year to year if the Company has insufficient surplus or does not obtain the approval of the IID to effect the repayment. The Company paid interest totaling $1,800 on the 2009 Surplus Note in both, 2014 and 2013.

On March 31, 2013, the Company issued an additional surplus note to its parent, FGLH, in the principal amount of $195,000 (the "2013 Surplus Note"). On May 8, 2013, the MIA granted the Company approval, and the IID approved upon re-domestication, to execute the 2013 Surplus Note. FGLH funded the 2013 Surplus Note using a portion of the proceeds received from approximately $300,000 of Senior Notes due in 2021, which FGLH issued on March 27, 2013. The Company received $195,000 in cash from FGLH on May 10, 2013. Principal and interest payments are payable out of the surplus of the Company and require the prior written approval of the IID, following the Company's re-domestication as described in note 1. Interest accrues on the 2013 Surplus Note at the rate of 6.5% per annum, with interest payments made semi-annually subject to the Company having sufficient surplus and obtaining the approval of the IID. The 2013 Surplus Note may be prepaid in whole or in part at any time, plus accrued interest to the date of prepayment, without premium or penalty subject to the Company having sufficient surplus and obtaining approval of the IID. The unpaid principal balance matures on April 1, 2021. The 2013 Surplus Note will automatically extend from year to year if the Company has insufficient surplus or does not obtain the approval of the IID to effect the repayment. In 2014 and 2013, interest paid and accrued on the 2013 Surplus Note by the Company totaled $12,675 and $9,506, respectively.

NOTE 11: CAPITAL AND SURPLUS

Life insurance companies are subject to certain RBC requirements as specified by the NAIC. The RBC is used to evaluate the adequacy of capital and surplus maintained by an insurance company in relation to risks associated with: (i) asset risk, (ii) insurance risk, (iii) interest rate risk and (iv) business risk. The Company monitors the level of its RBC and has exceeded all of the NAIC's minimum requirements as of December 31, 2014 and 2013. On December 18, 2014, the Board of Directors of FGLIC's parent company, FGLH, and FGLIC approved and directed that a capital contribution of $60,000 be made from FGLH to FGLIC based upon management's assessment of FGLIC's year end capital position completed in February 2015. In accordance with SSAP 72, the capital contribution was approved by the Iowa Department of Insurance prior to the annual statement filings. The transaction was recorded at December 31, 2014 as a capital contribution receivable and an increase to contributed surplus and the capitalization transaction was completed on February 26, 2015.

NOTE 12: CONTINGENCIES

The Company is assessed amounts by the state guaranty funds to cover losses to policyholders of insolvent or rehabilitated insurance companies. Those mandatory assessments may be partially recovered through a reduction in future premium tax credits in certain states. At December 31, 2014 and 2013, the Company has accrued $3,790 and $4,413 for guaranty fund assessments, respectively. This liability could change should any new insolvencies arise. Management reviews open insolvencies annually to decide if the guaranty fund accrual is sufficient. Future premium tax deductions at December 31, 2014 and 2013 are estimated at $4,005 and $4,591, respectively.

The Company is involved in various pending or threatened legal proceedings, including purported class actions, arising in the ordinary course of business. In some instances, these proceedings include claims for unspecified or substantial punitive damages and similar types of relief in addition to amounts for alleged contractual liability or requests for equitable relief. In the opinion of management and in light of existing insurance and other potential indemnification, reinsurance and established reserves, such litigation is not expected to have a material adverse effect on the Company's financial position, although it is possible that the results of operations and cash flows could be materially affected by an unfavorable outcome in any one period.

On July 18, 2011, a putative class action Complaint was filed in the United States District Court for the Central District of California, captioned Eddie L. Cressy v. OM Financial Life Insurance Company, et. al., Case No. 2:2011-cv-05871. The Plaintiff asked the Court to certify the action as a class action on behalf of both a nationwide and a California class defined as certain persons who were sold OM Financial Life Insurance equity-indexed universal life insurance policies.

The Plaintiff alleged, inter alia, that the Plaintiff and members of the putative class relied on defendants' advice to purchase unsuitable insurance policies. After extensive motion practice, the federal court dismissed the federal causes of action, with prejudice, and, on May 9, 2013, declined to exercise supplemental jurisdiction over the state law claims, dismissed the state law claims, without prejudice, and granted the Plaintiff leave to re-file the state law claims in California state court.

On July 5, 2013, the Plaintiff filed a putative class action captioned Eddie L. Cressy v. Fidelity & Guaranty [sic] Life Insurance Company, et. al. in the Superior Court of California, County of Los Angeles (the "Court"), at No. BC-514340. The state court Complaint asserts, inter alia, that the Plaintiff and members of the putative class relied on Defendants' advice in purchasing unsuitable equity-indexed insurance policies. The Plaintiff seeks to certify a class defined as "all persons who reside or are located in the state of California who were sold OM Financial/Fidelity & Guaranty Life equity-indexed universal life insurance policies as an investment."

On April 4, 2014, the Plaintiff, the Company and the other two defendants signed a Settlement Agreement, pursuant to which the Company agreed to pay a total of $5,250 to settle the claims of a nationwide class consisting, with certain exclusions, of all persons who own or owned an OM Financial/Fidelity & Guaranty Life indexed universal life insurance policy issued from January 1, 2007 through March 31, 2014, inclusive. As part of the settlement, the Company agreed to certification of the nationwide class for settlement purposes only. An amended Settlement Agreement was filed with the Court on June 5, 2014 as part of the Plaintiff's Unopposed Motion for Preliminary Approval of Settlement and Conditional Class Certification. On June 19, 2014, the Court held a hearing on Plaintiff's Unopposed Motion for Preliminary Approval of Settlement and Conditional Class Certification and entered its Order Granting Motion for Preliminary Approval of Class Action Settlement (the "Order"). Pursuant to the terms of the Settlement Agreement and the Court's Order, the Company has the right to unilaterally terminate the settlement if either: (i) 100 policyholders or (ii) policyholders representing more than one percent (1%) of the total premiums paid opt out of or object to the settlement. Final settlement is also subject to other conditions and the entry of a final order that can no longer be appealed. On November 18, 2014, the Court granted final approval of the class settlement, subject to entry of a Final Order and Judgment.

At December 31, 2014, the Company estimated the total cost for the settlement, legal fees and other costs related to this class action, including the above referenced settlement cost of $5,250, would be $9,023 and carries a liability of $3,444 for the unpaid portion of this estimate. The Company has incurred and paid $3,579 related to legal fees and other costs and $2,000 related to settlement costs as of December 31, 2014. Based on the information currently available the Company does not expect the actual cost for settlement, legal fees and other

related cost to differ materially from the amount accrued. The Company is seeking indemnification from OM Group (UK) Limited ("OMGUK") under the First Amended and Restated Stock Purchase Agreement, dated February 17, 2011 (the "F&G Stock Purchase Agreement") between Fidelity & Guaranty Life (formerly, Harbinger F&G, LLC) and OMGUK related to the settlement and the costs and fees in defending the Cressy litigation in both the federal and state courts. The Company has established an amount recoverable from OMGUK for the amount of $4,421, the collection of which the Company believes is probable. This recoverable is reported in the statement of admitted assets, liabilities and capital and surplus as a non- admitted asset. The actual amount recovered from OMGUK could be greater or less than the Company's estimate, but the Company anticipates that the amount recovered will not be materially different than its current estimate.

On, January 2, 2015 the Court entered the Final Order and Judgment, certifying the class for settlement purposes, and approving the class settlement. The implementation shall commence on or about August 10, 2015. The parties will advise the Court when the settlement is complete.

In light of the inherent uncertainties involved in the matter described above and uncertainties in litigation generally, there can be no assurance that this litigation, or any other pending or future litigation, will not have a material adverse effect on our business, financial condition, or results of operations.

NOTE 13: SEPARATE ACCOUNTS

Information regarding the separate accounts of the Company as of and for the years ended December 31, 2014 and 2013 is as follows:

	2014	2013
Reserves for separate accounts with assets at amortized cost	$ 477,159	$ 493,417
Total Reserves	$ 477,159	$ 493,417
Reserves for separate accounts by withdrawal characteristics:		
Not subject to discretionary withdrawal	$ 477,159	$ 493,417
Total Reserves	$ 477,159	$ 493,417

NOTE 14: SUBSEQUENT EVENTS

The Company has evaluated subsequent events through May 15, 2015, the date the financial statements were made available to be issued. The following events have occurred subsequent to the balance sheet date and through the date of evaluation.

The Company holds several investments with direct and indirect exposure to RadioShack ("RSH") including a loan participation interest included in bonds, an investment in an equity tranche of a collateralized loan obligation (CLO Equity) and preferred equity account investments included in other invested assets. RSH filed for bankruptcy on February 5, 2015. In late March 2015, the Court awarded a sale of RSH assets at auction to another bidder resulting in the Company's collateral claim becoming more junior to other claimants. Accordingly, the Company concluded that certain investments with RSH exposure had realized an other than temporary

impairment and recognized aggregate impairment losses of $74,810; including $22,396 which was realized in a funds withheld investment portfolio and will be recovered from the reinsurer. This recoverable had an associated current tax expense of $7,839. The impairment resulted in a net increase in surplus of $2,191, which also reflected a related tax benefit of $26,175 and a $36,269 release in the asset valuation reserve. These adjustments are reflected in the March 31, 2015 statutory NAIC quarterly statement.

On February 27, 2015, the Company entered into a transaction with Salus whereby Salus transferred $14,446 of loan participations and $16,189 of CLO subordinated debt (i.e., equity tranche) to the Company in exchange for retirement of the $20,000 promissory note and $10,000 revolving loan owed by Salus to the Company resulting in the termination of these facilities. Additionally, the Company also entered into a transaction with the Salus CLO whereby the Company transferred $28,500 of loan participations into the CLO in exchange for $26,918 of CLO subordinated notes (i.e., equity tranche) and a promissory note of $2,480 from Salus. Both transactions qualified as sales of financial assets accounted for at fair value and therefore did not result in any gain or loss.

On April 6, 2015, HRG, announced that it is exploring strategic alternatives for FGL regarding their FGL holdings. Following this announcement, FGL has begun a strategic process involving a potential sale of the Company. There can be no assurance that the exploration of strategic alternatives will result in a transaction or that any transaction, if pursued, will be consummated. The exploration of strategic alternatives may be terminated at any time and without notice. Neither HRG nor any of its affiliates – including FGL -- intend to disclose developments. with respect to this process unless and until the FGL Board of Directors has approved a specific transaction or course of action

Schedule 1

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

SUPPLEMENTAL SCHEDULE OF SELECTED STATUTORY FINANCIAL DATA

DECEMBER 31, 2014
(DOLLARS IN THOUSANDS)

Investment income earned:		
U.S. Government bonds	$	1,797
Other bonds (unaffiliated)		738,160
Bonds of affiliates		27,098
Preferred stocks (unaffiliated)		28,423
Preferred stocks of affiliates		-
Common stocks (unaffiliated)		1,761
Common stocks of affiliates		-
Mortgage loans		3,745
Real estate		-
Premium notes, policy loans and liens		554
Cash on hand and on deposit		-
Short-term investments		513
Other invested assets		29,985
Derivative instruments		182,324
Aggregate write-ins for investment income		451
Gross investment income	$	1,014,811
Real estate owned (statement value less encumbrances)	$	-
Mortgage loans (statement value):		
Farm mortgages	$	-
Residential mortgages		-
Commercial mortgages		206,848
Total mortgage loans	$	206,848
Mortgage loans by standing (statement value):		
Good standing	$	206,848
Good standing with restructured terms	$	-
Interest overdue more than 90 days, not in foreclosure	$	-
Foreclosure in process	$	-
Other long-term assets (statement value)	$	425,935
Collateral loans	$	-
Bonds and stocks of parents, subsidiaries and affiliates (statement value):		
Bonds	$	515,430
Preferred stocks	$	-
Common stocks	$	248,485

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

SUPPLEMENTAL SCHEDULE OF SELECTED STATUTORY FINANCIAL DATA (CONTINUED)

DECEMBER 31, 2014
(DOLLARS IN THOUSANDS)

Bonds and short-term investments by class and maturity:		
Bonds and short-term investments by maturity (statement value):		
Due within one year or less	$	1,262,187
Over 1 year through 5 years		4,537,872
Over 5 years through 10 years		4,590,733
Over 10 years through 20 years		2,516,364
Over 20 years		3,251,994
Total by maturity	$	16,159,150
Bonds and short-term investments by class (statement value) :		
Class 1	$	8,895,673
Class 2		6,217,375
Class 3		337,155
Class 4		457,364
Class 5		201,325
Class 6		50,258
Total by class	$	16,159,150
Total bonds and short-term investments publicly traded	$	9,939,776
Total bonds and short-term investments privately placed	$	6,219,374
Preferred stocks (statement value)	$	618,744
Common stocks (statement value)	$	292,320
Short-term investments (statement value)	$	257,802
Options, caps and floors owned (statement value)	$	126,131
Options, caps and floors written and in force (statement value)	$	-
Collar, swap and forward agreements open (statement value)	$	385
Futures contracts open (current value) DB	$	167,301
Cash on deposit	$	161,146
Life insurance in force :		
Industrial	$	-
Ordinary	$	12,626,509
Credit life	$	-
Group life	$	533
Amount of accidental death insurance in force under ordinary policies	$	6,283,422
Life insurance policies with disability provisions in force:		
Industrial	$	-
Ordinary	$	3,570,564
Credit life	$	-
Group life	$	-

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

SUPPLEMENTAL SCHEDULE OF SELECTED STATUTORY FINANCIAL DATA (CONTINUED)

DECEMBER 31, 2014
(DOLLARS IN THOUSANDS)

Supplementary contracts in force:	
Ordinary - not involving life contingencies:	
Amount on deposit	$ 166,803
Income payable	$ 67,909
Ordinary - involving life contingencies:	
Income payable	$ 8,782
Group - not involving life contingencies:	
Amount on deposit	$ -
Income payable	$ -
Group - involving life contingencies:	
Income payable	$ -
Annuities in force:	
Ordinary:	
Immediate - amount of income payable	$ 288,349
Deferred - fully paid - account balance	$ 13,621,235
Deferred - not fully paid - account balance	$ 236,805
Group:	
Amount of income payable	$ 472
Fully paid - account balance	$ 169,552
Not fully paid - account balance	$ 48,504
Accident and health insurance - premiums in force:	
Ordinary	$ -
Group	$ -
Credit	$ -
Deposit funds and dividend accumulations:	
Deposit funds – account balance	$ -
Dividend accumulations - account balance	$ 5,075
Claim payments 2014:	
Group Accident and Health	
2014	$ -
2013	$ -
2012	$ -
2011	$ -
2010	$ -
Prior	$ 13

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

SUPPLEMENTAL SCHEDULE OF SELECTED STATUTORY FINANCIAL DATA (CONTINUED)

DECEMBER 31, 2014
(DOLLARS IN THOUSANDS)

Other Accident and Health	
2014	$ 27
2013	$ -
2012	$ -
2011	$ -
2010	$ -
Prior	$ 18
Other coverages that use development methods to calculate claims reserves	
2014	
2013	$ -
2012	$ -
2011	$ -
2010	$ -
Prior	$ -

See accompanying independent auditors' report.

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

SUPPLEMENTAL INVESTMENT RISKS INTERROGATORIES (CONTINUED)

DECEMBER 31, 2014
(DOLLARS IN THOUSANDS)

Total admitted assets excluding separate account assets at December 31, 2014: $ 18,425,680

1. State by investment category the 10 largest exposures by first, aggregating investments from all investment categories (except the excluded categories) by issuer/borrower/investment, excluding (i) U.S. government securities, U.S. government agency securities, and those U.S. government money market funds listed in the Appendix to the *SVO Purposes and Procedures Manual* as exempt, (ii) property occupied by the Company, and (iii) policy loans.

Issuer	Investment category	Amount	Percentage of total admitted assets
Wells Fargo Corporation	Other Debt/ Unaffiliated Domestic	$ 173,155	0.940 %
JP Morgan Chase	Other Debt / Unaffiliated Domestic	146,909	0.797
Goldman Sachs Capital I	Other Debt / Unaffiliated Domestic	134,962	0.732
General Electric Capital Corporation	Other Debt / Unaffiliated Domestic	111,899	0.607
Metropolitan Life Global Funding	Other Debt / Unaffiliated Domestic	111,536	0.605
Bank of America Corporation	Other Debt/ Unaffiliated Domestic	111,006	0.602
Metropolitan Trans Auth	Revenue/Assessment Obligation	100,786	0.547
HSBC Bank PLC	Other Debt/Unaffiliated Foreign	95,255	0.517
Bank of New York Mellon	Other Debt / Unaffiliated Domestic	87,293	0.474
Citigroup Incorporated	Other Debt / Unaffiliated Domestic	84,112	0.456

2. State the amounts and percentages of the reporting entity's total admitted assets held in bonds and preferred stocks by NAIC rating.

Bonds	Amount	Percentage
NAIC-1	$ 8,895,673	48.279 %
NAIC-2	6,217,375	33.743
NAIC-3	337,155	1.830
NAIC-4	457,364	2.482
NAIC-5	201,325	1.093
NAIC-6	50,258	0.273
Total	$ 16,159,150	

Preferred Stocks	Amount	Percentage
P/RP-1	$ 82,967	0.450 %
P/RP-2	525,595	2.853
P/RP-3	5,580	0.030
P/RP-4	4,602	0.025
P/RP-5	-	-
P/RP-6	-	-
Total	$ 618,744	

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

SUPPLEMENTAL INVESTMENT RISKS INTERROGATORIES (CONTINUED)

DECEMBER 31, 2014
(DOLLARS IN THOUSANDS)

3. State the amounts and percentages of the reporting entity's total admitted assets held in foreign investments (regardless of whether there is any foreign currency exposure) and unhedged foreign currency exposure, including (i) foreign-currency-denominated investments of $0 supporting insurance liabilities denominated in that same foreign currency of $0 and excluding (ii) Canadian investments and currency exposure of $605,903 or 3.288%.

		Amount	Percentage
a.	Aggregate foreign investment exposure categorized by NAIC sovereign rating:		
	i. Countries rated NAIC-1	$ 2,119,271	11.502 %
	ii. Countries rated NAIC-2	459,695	2.495
	iii. Countries rated NAIC-3 or below	81,314	0.441

		Amount	Percentage
b.	Two largest foreign investment exposures to a single country, categorized by the country's NAIC sovereign rating:		
	i. Countries rated NAIC-1:		
	Country: Cayman Islands	$ 522,329	2.835 %
	Country: Bermuda	316,558	1.718
	ii. Countries rated NAIC-2:		
	Country: Mexico	$ 130,259	0.707 %
	Country: Peru	80,280	0.436
	iii. Countries rated NAIC-3 or below:		
	Country: Jersey, CI	$ 35,561	0.193 %
	Country: Supranational	15,044	0.082

		Amount	Percentage
c.	Aggregate unhedged foreign currency exposure	$ -	- %

		Amount	Percentage
d.	Aggregate unhedged foreign currency exposure categorized by NAIC sovereign rating:		
	i. Countries rated NAIC-1	$ -	- %
	ii. Countries rated NAIC-2	-	-
	iii. Countries rated NAIC-3 or below	-	-

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

SUPPLEMENTAL INVESTMENT RISKS INTERROGATORIES (CONTINUED)

DECEMBER 31, 2014
(DOLLARS IN THOUSANDS)

		Amount	Percentage
e.	Two largest unhedged foreign currency exposures to a single country, categorized by the country's NAIC sovereign rating:		
	i. Countries rated NAIC-1:		
	Country:	$ -	- %
	Country:	-	-
	ii. Countries rated NAIC-2:		
	Country:	-	-
	Country:	-	-
	iii. Countries rated NAIC-3 or below:		
	Country:	-	-
	Country:	-	-

		Amount	Percentage
f.	List the 10 largest non-sovereign (i.e. non-governmental) foreign issues:		
	i. Rabobank Nederland	$ 66,628	0.362 %
	ii. Barclays Bank PLC	63,264	0.343
	iii. HSBC Holding PLC	59,880	0.325
	iv. Centaur Funding	54,383	0.295
	v. AXA	54,299	0.295
	vi. Standard Chart	51,942	0.282
	vii. Nordea Bank AB	51,246	0.278
	viii. AUST & NZ Banking Group	50,683	0.275
	ix. ING Bank NV	47,679	0.259
	x. Vitol Finance LTD	46,438	0.252

4. Assets held in Canadian investments

	Amount	Percentage
Aggregate Canadian Investment Exposure:		
a. Canadian Investments	$ 605,903	3.288 %
b. CDA currency-denominated investment	-	-
. c. CDA currency-denominated insurance liability	-	-

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

SUPPLEMENTAL INVESTMENT RISKS INTERROGATORIES (CONTINUED)
DECEMBER 31, 2014
(DOLLARS IN THOUSANDS)

d. Unhedged CDA	-	-

5. The Company does not hold assets with contractual sales restrictions.

6. The Company does not hold assets in equity interests.

7. Assets held in nonaffiliated, privately placed equity securities are less than 2.5% of the reporting entity's total admitted assets.

8. The Company does not hold any general partnership interests.

9. Assets held in mortgage loans are less than 2.5% of the reporting entity's total admitted assets.

10. The Company does not hold any real estate.

11. The Company does not hold any mezzanine real estate loans.

12. The Company does not have any of the following types of agreements: securities lending, repurchase agreements, reverse repurchase agreements, dollar repurchase agreements, or dollar reverse repurchase agreements.

13. State the amounts and percentages of the reporting entity's total admitted assets held in warrants not attached to other financial instruments, options, caps, and floors.

		Owned Amount			Written Amount		
i.	Hedging	$ -	-	%	$ -	-	%
ii.	Income generation	-	-		-	-	
iii.	Other	126,131	0.685		-	-	

14. State the amounts and percentages of the reporting entity's total admitted assets for potential exposure for SWAPS contracts:

		At year-end			At the end of each quarter		
					1st	2nd	3rd
i.	SWAPS	$ 385	0.002	%	$ -	$ -	$ -

15. State the amounts and percentages of the reporting entity's total admitted assets for potential exposure for future contracts:

		At year-end			At the end of each quarter		
					1st	2nd	3rd
i.	Hedging	$ -	-	%	$ -	$ -	$ -
ii.	Income generation	-	-		-	-	-
iii.	Replications	-	-		-	-	-
iv.	Other	7,431	0.040		8,614	8,742	10,772

See accompanying independent auditors' report.

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

SUMMARY INVESTMENT SCHEDULE

DECEMBER 31, 2014
(DOLLARS IN THOUSANDS)

Investment categories	Gross Investment Holdings		Admitted Assets as Reported in the Annual Statement	
Bonds:				
U.S. Treasury securities	$ 337,043	1.9 %	$ 337,043	1.9 %
U.S. government agency obligations (excluding mortgage-backed securities):				
Issued by U.S. government agencies	-	0.0	-	0.0
Issued by U.S. government sponsored agencies	22,217	0.1	22,217	0.1
Non-U.S. government (including Canada, excluding mortgage-backed securities)	99,264	0.6	99,264	0.6
Securities issued by states, territories, and possessions and political subdivisions in the U.S.:				
States, territories and possessions general obligations	166,022	0.9	166,022	0.9
Political subdivisions of states, territories and possessions general obligations	159,447	0.9	159,447	0.9
Revenue and assessment obligations	886,674	4.9	886,674	4.9
Industrial development and similar obligations	-	0.0	-	0.0
Mortgage-backed securities (includes residential and commercial MBS):				
Pass-through securities:				
Issued or guaranteed by GNMA	-	0.0	-	0.0
Issued or guaranteed by FNMA and FHLMC	700	0.0	700	0.0
All other	-	0.0	-	0.0
CMOs and REMICs:				
Issued or guaranteed by GNMA, FNMA, FHLMC or VA	5,081	0.0	5,081	0.0
Issued by non-U.S. Government issuers and collateralized by mortgage-backed securities issued or guaranteed by agencies shown above	-	0.0	-	0.0
All other	1,856,090	10.3	1,856,090	10.3
Other debt and other fixed income securities (excluding short-term):				
Unaffiliated domestic securities (includes credit tenant loans and hybrid securities)	9,521,034	52.9	9,521,034	52.9
Unaffiliated Non-U.S. securities (including Canada)	2,332,346	13.0	2,332,346	13.0
Affiliated securities	515,430	2.9	515,430	2.9
Equity Interests:				
Investments in mutual funds	-	0.0	-	0.0
Preferred stocks:				
Affiliated	-	0.0	-	0.0
Unaffiliated	618,744	3.4	618,744	3.4
Publicly traded equity securities (excluding preferred stocks):				
Affiliated	-	0.0	-	0.0
Unaffiliated	-	0.0	-	0.0

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

SUMMARY INVESTMENT SCHEDULE (CONTINUED)

DECEMBER 31, 2014
(DOLLARS IN THOUSANDS)

Investment categories	Investment Holdings		Assets as Reported in	
Other equity securities:				
Affiliated	$ 248,485	1.4 %	$ 248,485	1.4 %
Unaffiliated	43,835	0.2	43,835	0.2
Other equity interests including tangible personal tangible personal property under lease:				
Affiliated	-	0.0	-	0.0
Unaffiliated	-	0.0	-	0.0
Mortgage Loans:				
Construction and land development	-	0.0	-	0.0
Agricultural	-	0.0	-	0.0
Single family residential properties	-	0.0	-	0.0
Multifamily residential properties	-	0.0	-	0.0
Commercial loans	206,848	1.1	206,848	1.1
Mezzanine real estate loans	-	0.0	-	0.0
Real estate investments:				
Property occupied by company	-	0.0	-	0.0
Property held for production of income (including $0 of property acquired in satisfaction of debt)	-	0.0	-	0.0
Property held for sale (including $0 of property acquired in satisfaction of debt)	-	0.0	-	0.0
Contract Loans	9,302	0.1	9,302	0.1
Derivatives	126,516	0.7	126,516	0.7
Receivables for securities	5,926	0.0	5,926	0.0
Securities lending (Line 10, Asset Page reinvested collateral)	-	0.0	-	
Cash, cash equivalents and short-term investments	418,948	2.3	418,948	2.3
Other invested assets	425,935	2.4	425,935	2.4
Total invested assets	$ 18,005,887	100.0 %	$ 18,005,887	100.0 %

See accompanying independent auditors' report.

FIDELITY & GUARANTY LIFE INSURANCE COMPANY

NOTE TO SUPPLEMENTAL SCHEDULES

DECEMBER 31, 2013
(DOLLARS IN THOUSANDS)

NOTE – BASIS OF PRESENTATION

The accompanying Schedule 1 presents the Supplemental Schedule of Selected Statutory Financial Data as of December 31, 2014 and for the year then ended for purposes of complying with paragraph 9 of the Annual Audited Financial Reports in the General section of the National Association of Insurance Commissioners' Annual Statement Instructions. This Schedule 1 agrees to or is included in the amounts reported in the Company's 2014 Statutory Annual Statement as filed with the Iowa Insurance Division.

The accompanying Schedules 2 and 3 present the Supplemental Investment Risks Interrogatories and Summary Investment Schedule (the "Schedules") as of December 31, 2014 for purposes of complying with the NAIC's Accounting Practices and Procedures Manual, Appendix A-001, *Investments of Reporting Entities*. The Schedules agree to or are included in the amounts reported in the Company's 2014 Statutory Annual Statement as filed with the Iowa Insurance Division.